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US Equity Strategy | North America

Weekly Warm-up: Broadening Continues as Index Struggles

Our broadening thesis continues to play out as the index struggles to make headway and former leaders correct. This leadership change is likely to persist and may lead to further consolidation in major indices before the bull market resumes in earnest. Focus on EPS quality at the factor level.

- **Our Broadening Thesis Continues to Play Out...**The Equal Weighted S&P 500 has continued to outperform the Cap Weighted S&P, while Consumer Discretionary Goods and Transports have each outperformed the S&P 500 by 12% over the past two months. We continue to see support from accelerating earnings growth across the median stock, expanding Artificial Intelligence adoption, lower expected oil prices, and a Federal Reserve that remains on hold.
- **...As Semis Underperform...**A month ago, we argued that the momentum trade and Semiconductors, in particular, were due for a pullback as earnings revisions breadth reached historical extremes, price action reflected commodity-like volatility, and positioning became increasingly concentrated and driven by leverage. While we would not be surprised to see a bounce in Semis given the 20%+ correction already experienced, we continue to expect market leadership to broaden beyond the space and across a wider range of industries in the second half. In other words, the momentum unwind is helping to fuel the broadening into areas where strong EPS revisions are underappreciated—particularly Consumer Discretionary Goods and Transports.
- **We Still Like the Hyperscalers Versus Semis Over the Next Several Months...**That said, we acknowledge that the risk/reward is less attractive after nearly 30% of relative outperformance in just 3 weeks. While our factor work suggests the market is placing renewed emphasis on capex discipline, we believe the hyperscalers were early in discounting both this shift and the market's focus on peaking [capex growth](#). Further, they retain compelling AI optionality through strong core businesses, leadership potential in the agentic application layer, and an underappreciated cost-efficiency lever. As the AI cycle evolves, we expect continued rotations in relative performance across different AI beneficiaries, consistent with the pattern observed over the past several years.

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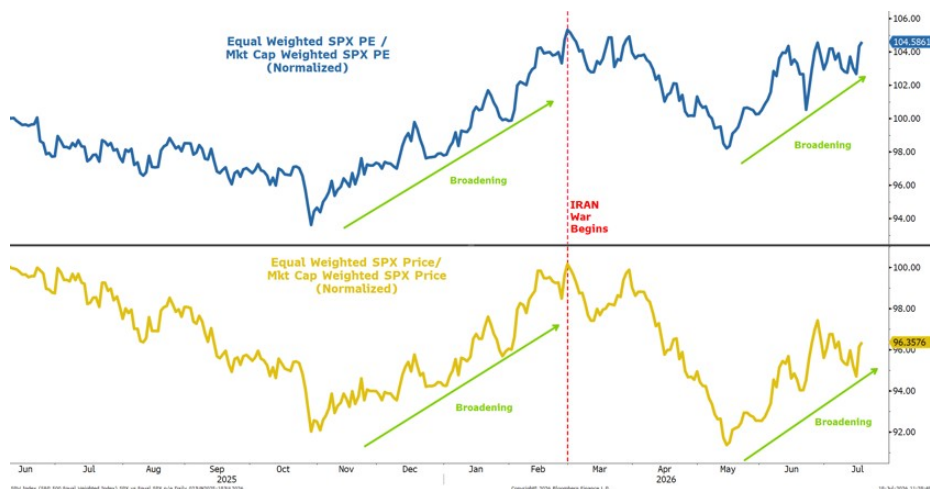
For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

Broadening Continues as Index Struggles

Since our [mid-year outlook](#) published in May, we have been advocating for a re-emergence of the broadening trade driven by continued strong earnings and our expectation for oil prices to fall and lead to a subsequent cooling off in fears about Fed hikes. Since then, oil prices are down significantly from April highs despite recent volatility. Meanwhile, the average stock is outperforming again along with our preferred cyclical industries for the broadening trade—Consumer Discretionary Goods and Transports. Below is the full list of the key drivers of our broadening call over the past 2 months:

1. The most significant acceleration in earnings growth we have seen for the median stock (mid-teens growth) since the post-Covid recovery, driven by the return of positive operating leverage.
2. The underperformance of Semiconductors as earnings revisions breadth for the group reached upside extremes.
3. Despite a recent bounce, we see oil prices lower over the next several months. We first discussed our views on this front in April as the commodity was peaking.
4. An underappreciated AI adoption tailwind that is gaining momentum. 25% of S&P 500 companies are seeing quantifiable benefits from AI adoption, up from 14% a year ago.
5. A Fed on hold this year versus the bond market's expectation for rate hikes.

The primary risk to our call in the near term is that the unwind of the momentum trade turns into a more significant de-leveraging that leads to an overall risk-off environment. Furthermore, any de-leveraging could be exacerbated by the fact that liquidity is just "ample" at the moment and no longer abundant. This creates risk because the demand for liquidity continues to increase at a rapid rate from the record issuance of equity and debt (sovereign and corporate credit) that is being used for capital spending—i.e., capital is no longer just going into financial assets but also into the real economy. Ultimately, we believe the Fed and Treasury will be responsive to any stress from liquidity shortfalls, but this may come in a more reactive, rather than proactive manner.

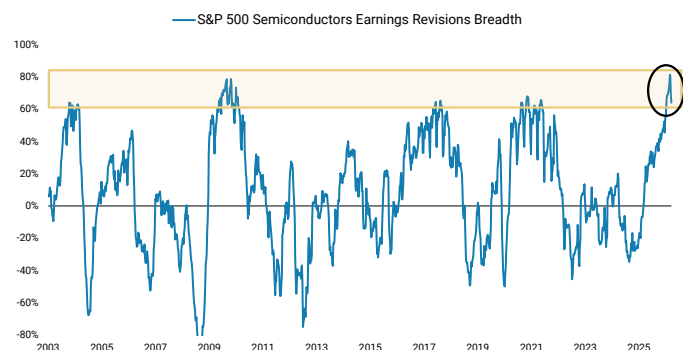
Exhibit 1: The Broadening Has Resumed After a Pause. We Think It Continues.

Source: Bloomberg, Morgan Stanley Research

The second point discussed above—the recent underperformance of Semis—has been the most talked about topic among investors recently. In early June, we first laid out our case for why the momentum trade and Memory stocks, in particular, were likely to see a meaningful correction ([A Healthy Reset](#)). We then noted that earnings revisions breadth for Semis had reached historical extremes, and was likely to mean revert. We can now confirm that earnings revisions breadth for Semis is starting to roll over from those extremes ([Exhibit 2](#)). In addition to our notes on this topic over the past month, see [here](#) for Shawn Kim's note (Shawn is our Lead Asia and Europe Tech Hardware and Semis analyst) last week on the Memory stocks that supports our views (see [Exhibit 4](#) below from his note). In addition, we highlighted the commodity-like characteristics of memory and the price analog versus silver stocks that appeared to be tracking fairly closely. In June, our QDS team highlighted the significant leverage in the long momentum and global Semis trade, which has also played a role.

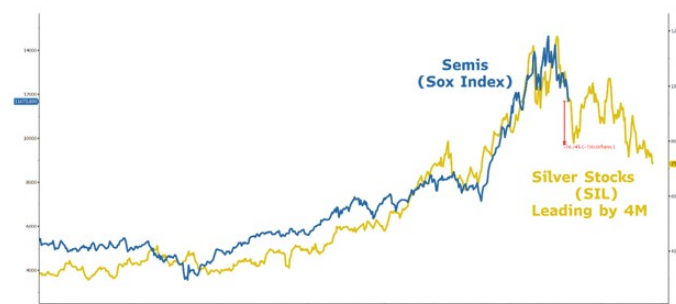
Fast forward to today, and earnings revisions breadth for Semis has started to decelerate from historical extremes as noted and price performance continues to track the silver analog quite closely ([Exhibit 3](#)). This analog implies another ~15% downside for Semis in the near term. We think it's reasonable for Semis to see a tradable bounce once the lows are in, but we're not convinced they will regain their leadership position in the second half of this year. Instead, we think the broadening has legs and a wider range of industry groups will lead the market higher into year-end once this correction is finished. With regard to the S&P 500, it has been consolidating for the past 2 months, since the broadening began to re-emerge. This is in line with our thinking that the rotation would happen in a down or consolidating tape. If the momentum unwind spills over into other areas and/or the conflict in the middle east escalates, the S&P 500 could consolidate further toward 7000, where we see durable technical support, before the bull market resumes in earnest into year-end. We still think our year-end target of 8000 is very achievable.

Exhibit 2: Semis Earnings Revisions Breadth Beginning to Decelerate from Upside Extremes.....



Source: FactSet, Morgan Stanley Research.

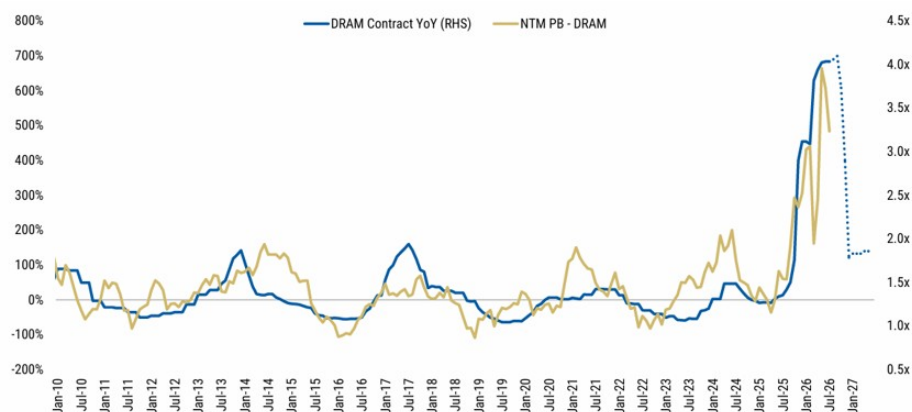
Exhibit 3: Semis' Analog with Silver Stocks Is in Gear; It Suggests Further Downside Near-Term; This Should Also Help Drive the Broadening



Source: Bloomberg, Morgan Stanley Research.

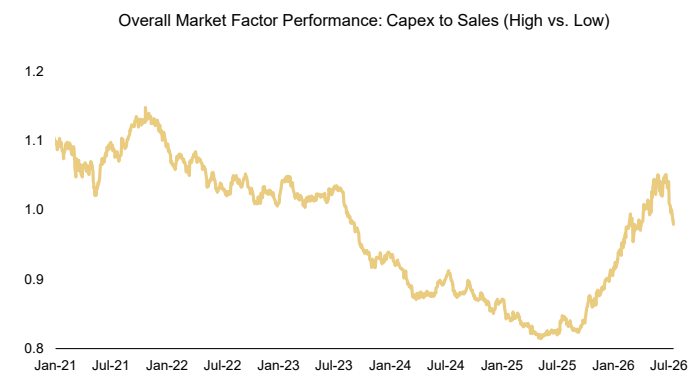
Exhibit 4:

Memory Pricing Expected to Peak Around 4Q26 Based on Our Colleague Shawn Kim's Work

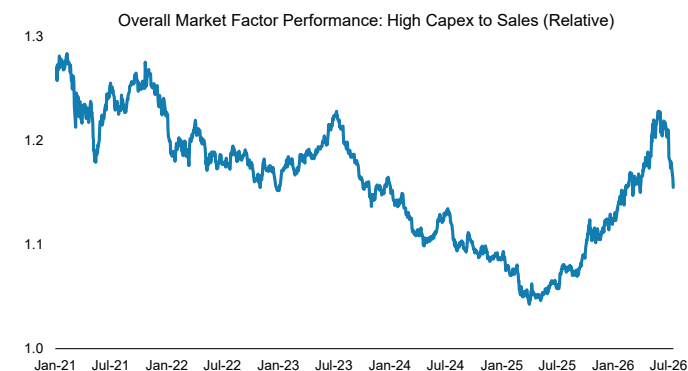


Source: TrendForce, FactSet, Morgan Stanley Research. Note: dot line is MS forecast.

Within the Technology sector, we have been recommending Hyperscalers over Semis for the past several weeks. As discussed previously, we think the Hyperscalers were early in discounting the market's renewed focus on Capex discipline ([Exhibit 5](#) and [Exhibit 6](#)) and already went through their period of underperformance. This enhanced relative value for the group as the equal weighted multiple across META, AMZN, GOOGL and MSFT got down to 21x (in line with the March lows). We also believe the Hyperscalers have attractive optionality within the AI ecosystem: strong core businesses, the ability to participate in/lead the agentic application layer development and implementation, as well as an underappreciated cost cutting lever. While the risk/reward for this relative trade is not as attractive as it was a couple of weeks ago, we still think a Hyperscaler over Semis posture makes sense for the time being, particularly given the price analog of Semis vs. Silver stocks shown above that suggests Semis still have approximately 15% downside before a tradable low is in for the group. While we don't think the AI capex cycle is over by any stretch, there could be a modest cooling off in the rate of change in revisions for Semis as the hyperscaler companies potentially recognize the capex/sales factor is no longer being rewarded while credit and CDS spreads have widened a bit for certain stocks.

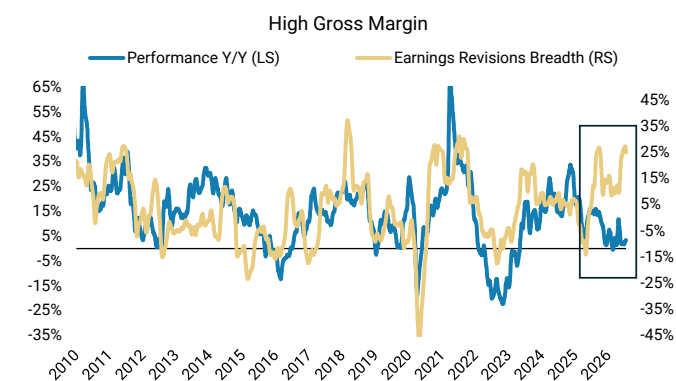
Exhibit 5: High Vs. Low Capex to Sales Factor Performance Pausing

Source: Compustat, Morgan Stanley Research

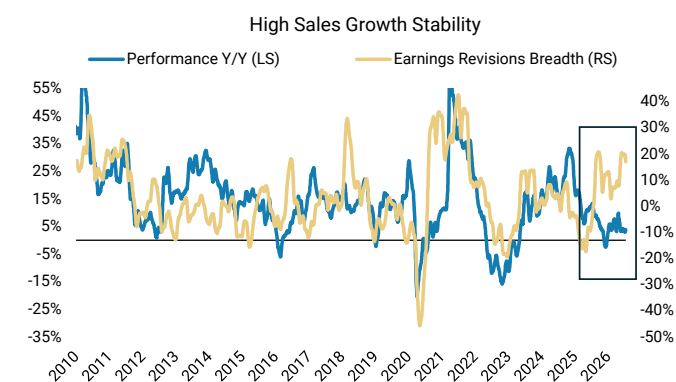
Exhibit 6: High Capex Leg Starting to Underperform Vs. Overall Market (Top 1000 by Market Cap)

Source: Compustat, Morgan Stanley Research

The recent underperformance of our high capex/sales factor does raise the question whether the market is moving to a higher quality bias as it did in 2021. Interestingly, the High Gross Margin and High Sales Stability factors ([Exhibit 7](#) and [Exhibit 8](#); clearly in the quality realm) are showing strong earnings revisions breadth that points to a catch up in performance. We think there's something to the assertion that the market is slowly rotating toward a higher quality leadership base, but it could take a couple of months for quality to emerge as a leadership factor in earnest. Importantly, the S&P 500 is *broadly* a high quality index, especially compared to international peers. This should continue to attract capital to the US over the coming months, a trend that has picked up recently. In other words, the broadening can continue as the market moves toward higher quality leadership. [Exhibit 9](#) helps to reinforce this dynamic by showing that the cash conversion ratio for the median stock in the S&P is actually outpacing and diverging from that of the cap weighted S&P 500.

Exhibit 7: High Gross Margin Earnings Revisions Strong and Diverging from Performance...

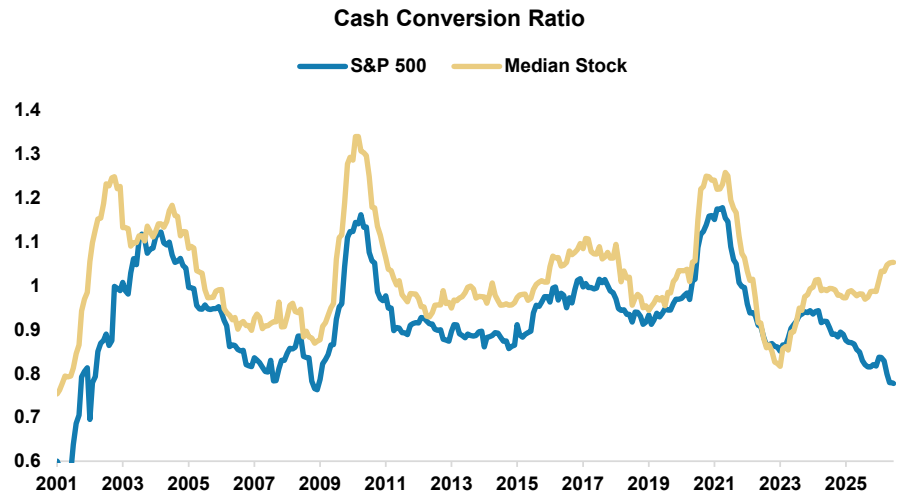
Source: Compustat, Morgan Stanley Research.

Exhibit 8: ...Similar Story with Respect to High Sales Growth Stability—The Market May Start Shifting Toward A Higher Quality Stance in 2H

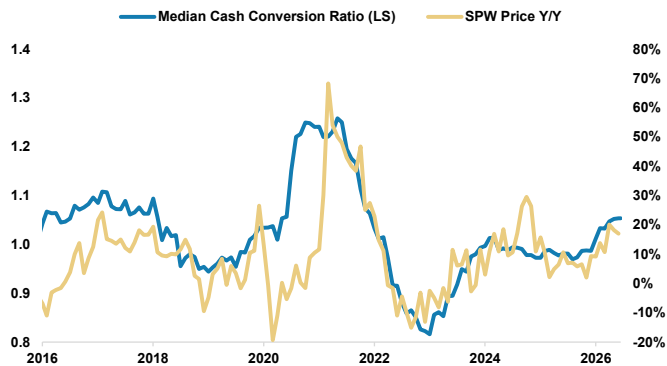
Source: Compustat, Morgan Stanley Research.

Exhibit 9:

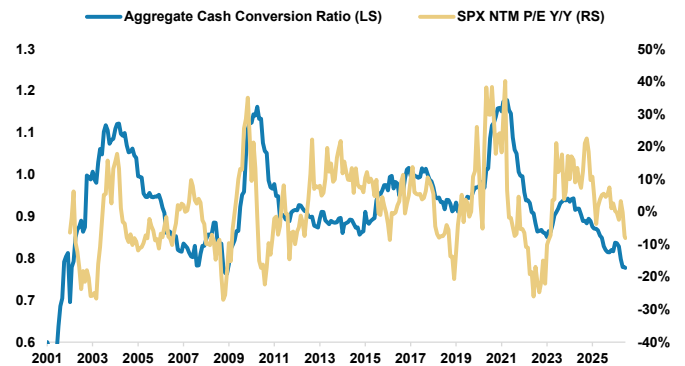
Cash Conversion for the Index and Median Stock Continue to Diverge



Note: Cash Conversion defined as Free Cash Flow to Net Income. Source: Compustat, Morgan Stanley Research

Exhibit 10: The Median Stock Is Trading In-Line with Cash Conversion...

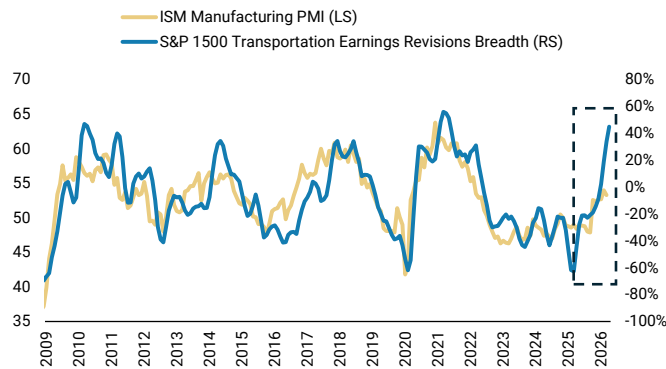
Source: Compustat, Morgan Stanley Research

Exhibit 11: ...While S&P 500 Cap-Weighted Valuation Is Weighed Down from Lower Cash Conversion

Source: Compustat, Morgan Stanley Research

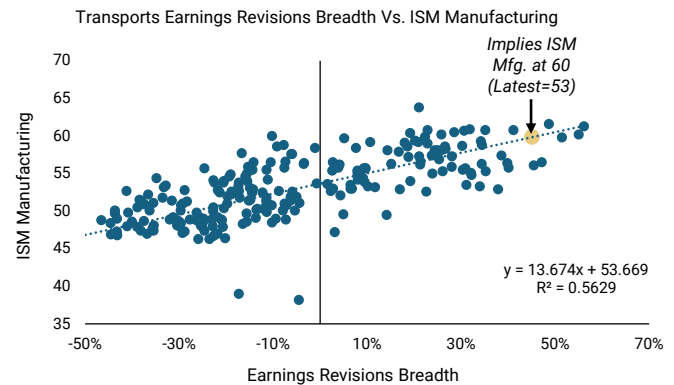
As noted above, we remain constructive on Consumer Discretionary Goods and Transports, two groups that have continued to show relative strength both in terms of performance and earnings revisions. In fact, earnings revisions breadth for Transports is the strongest we have seen since 2021 (~50%). As [Exhibit 12](#) shows, Transports earnings revisions breadth correlates closely with the ISM Manufacturing Survey and points to a catch up in the ISM toward the ~60 level. The regression in [Exhibit 13](#) helps to illustrate this.

Exhibit 12: The Strength in Transports Earnings Revisions Breadth...



Source: Bloomberg, FactSet, Morgan Stanley Research.

Exhibit 13: ...Points to a Catch Up in the ISM



Source: Bloomberg, FactSet, Morgan Stanley Research.

Bottom line, we continue to believe the AI capex cycle remains intact and far from over; however, the acceleration in earnings revisions for Semis reached a peak rate of change for now, while their stocks got over-priced in the short term and were due for a proper correction. This is the fourth time we have had such a correction in the stocks that benefit from the AI capex cycle and we believe this one is not yet finished for Semis. This momentum unwind is helping to fuel the broadening of performance in the equity market as money rotates to other sectors and stocks where strong earnings revisions have been underappreciated. Finally, there is also a growing interest in companies with higher quality earnings, in addition to those with positive revisions. The hyperscalers were the first to de-rate on this focus and price it in advance; their relative value continues to look attractive, in our view.

Lastly, June core CPI came in well below consensus at 0.0% month-over-month. This supports our house view that core inflation can remain benign enough for the Fed to stay on hold this year as opposed to the consensus view it will hike rates.

Power Struggle: AI, Data Centers, & Local Backlash

Michelle Weaver, US Thematic Strategist

The following is an excerpt from our [recent deep dive](#) on data center backlash and proposed moratoriums. Please see the full now for our interactive moratorium tracker.

Politics are becoming impossible to separate from the data center build-out: We highlighted "The Politics of Energy" as one of our 10 thematic predictions to watch heading in 2026, in particular the risk of rising backlash against data center growth becoming a key wedge issue ahead of the midterm elections. To be sure, this has played out so far: as the issue rises in salience with voters, third parties report an estimated value of ~\$156 billion of projects were cancelled or delayed in 2025, and \$130 billion already in 1Q26. These instances of local opposition have grown louder across state lines, as lawmakers at the federal level are now introducing legislation toward this end. If realized — or if local opposition continues to grow, even if contained at the state level — then we see a greater risk of actual AI capex falling short of our \$877 billion estimate for 2026, carrying a multitude of implications across equity sectors & the macro backdrop.

Data center moratoriums have precedent, and are expanding at the state and local level. To be sure, a growing number of localities have passed or proposed guardrails and restrictions on data center projects: guardrails introduced include infrastructure cost-sharing requirements, ratepayer protection initiatives, environmental disclosure rules and zoning changes. Restrictions have mostly been in the form of temporary moratoriums, impacting future projects or those lacking vested status. Further, although the explicit public opposition has tended to concentrate more in blue states and among Democratic-leaning voters, we're seeing state-wide data center moratorium proposals emerge roughly evenly in Democratic trifectas, Republican trifectas, and divided governments.

Importantly, most efforts are aimed at slowing — not reversing — the build-out, as many of these policy initiatives are temporary.

Exhibit 14: Proposed State-Level AI Data Center Moratorium Bills & Political Breakdown

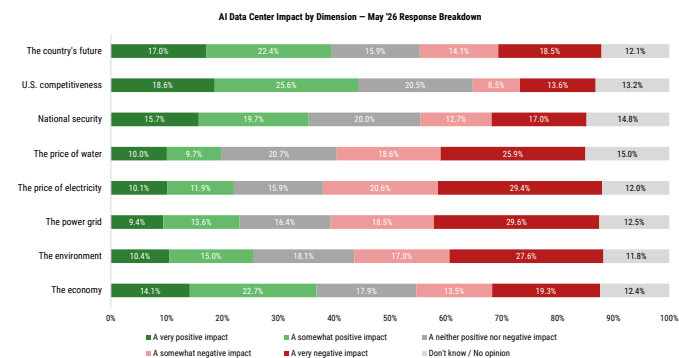
State	Bill(s)	Status	Description	Governor	Senate	House	Alignment
Delaware	SB 353	Introduced	Moratorium through Jan. 31, 2027 on applications and permits for data centers able to use 100 MW or more.	Matt Meyer (D)	D	D	Aligned
Georgia	HB 1059	Introduced	Forbids local governments from permitting data centers until Dec. 31, 2028.	Brian Kemp (R)	R	R	Aligned
Maine	LD 307 / HP 207	Vetoed	Creates Maine Data Center Coordination Council and temporarily limits certain data centers over 20 MW until Nov. 2027.	Janet Mills (D)	D	D	Aligned
Maryland	HB 120	Failed	Prohibits construction or permitting of new data centers under stated co-location/generation conditions.	Wes Moore (D)	D	D	Aligned
Michigan	HB 5594 / HB 5595	Introduced	Local governments and state agencies may not permit/approve certain new data centers until Apr. 1, 2027.	Gretchen Whitmer (D)	D	R	Divided
Minnesota	HF 4888 / SF 4298	Failed	Bans new data-center permits until a Public Utilities Commission report, no earlier than July 2027.	Tim Walz (D)	D	NP	Divided
New Hampshire	HB 1265	Failed	Establishes a one-year moratorium on data-center construction.	Kelly Ayotte (R)	R	R	Aligned
New York	A11560 / S10642	Passed Legislature	Places a one-year moratorium on large data-center permits and adds service-classification, energy-efficiency and host-community provisions.	Kathy Hochul (D)	D	D	Aligned
Oklahoma	SB 1488	Failed	Establishes a moratorium on data-center construction until Nov. 2029 and requires a study.	Kevin Stitt (R)	R	R	Aligned
Pennsylvania	SB 1359 / HB 2533	Introduced	Creates a statewide three-year moratorium on hyperscale data centers and impact studies, or authorizes municipal moratoriums.	Josh Shapiro (D)	R	D	Divided
South Carolina	H 5526	Introduced	Blocks state/local acceptance or action on data-center applications until a comprehensive oversight framework is enacted.	Henry McMaster (R)	R	R	Aligned
South Dakota	SB 232	Failed	Imposes a one-year moratorium on construction or expansion of hyperscale data centers.	Larry Rhoden (R)	R	R	Aligned
Vermont	S.205	Introduced	Creates a moratorium on AI data centers until 2030 and requires a report on impacts.	Phil Scott (R)	D	D	Divided
Virginia	HB 1515	Continued	Prohibits final local approval for a new data center until interconnection requests are fulfilled or July 1, 2028.	Abigail Spanberger (D)	D	D	Aligned
Wisconsin	SB 1061 / AB 1099	Failed	Prohibits data-center operation until 14 listed conditions are satisfied.	Tony Evers (D)	R	R	Divided

Source: NCSL, MultiState, Morgan Stanley Research

Consumer survey data reflects the idea that the public is broadly supportive of some

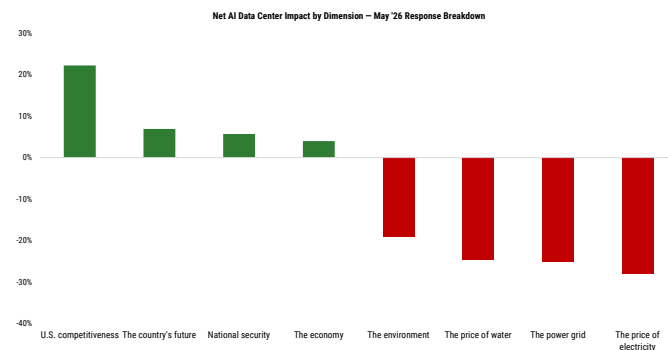
limitation on data center construction. Roughly half of respondents in a recent Morning Consult survey believe AI data centers negatively affect electricity prices and the power grid, while concerns about water prices and the environment are close behind at around 45%. Since October 2025, a larger share of consumers now view AI data centers as having a negative impact across most dimensions, with the biggest increases in concern related to water prices and the environment. In May 2026, for the first time since October 2025, more respondents to Morning Consult's monthly survey favored halting data center construction (~45%) over continuing to build while expanding energy supply (~38%). The share selecting "don't know/no opinion" held roughly steady.

Exhibit 15: AI Data Center Impact by Dimension (May 2026)



Source: Morning Consult, AlphaWise Web Intelligence

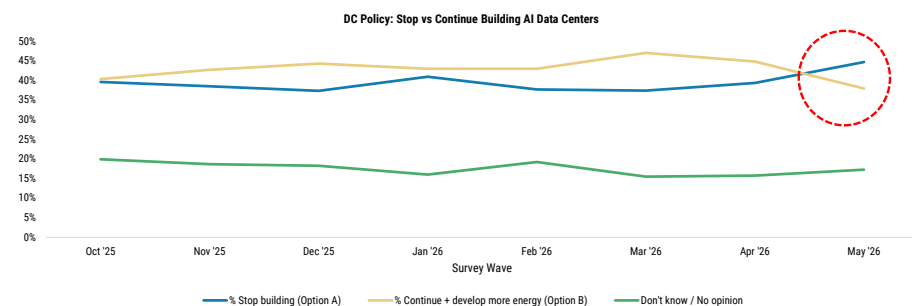
Exhibit 16: Net AI Data Center Impact by Dimension (May 2026)



Source: Morning Consult, AlphaWise Web Intelligence

Exhibit 17:

DC Policy: Stop vs Continue Building AI Data Centers



Source: Morning Consult, AlphaWise Web Intelligence

Do these risks consequently imperil the US position in the global AI race? If the local policy efforts are either 1) made permanent and continue to expand and/or 2) reflected at the federal level, then we think the US risks keeping pace with China on the global AI competitive landscape. However, in our view, the geopolitical realities are hard to ignore, and therefore make it less likely that the federal government will meaningfully obstruct the US data center build-out. We think a conditional build-out is therefore a more likely outcome: given the integration of data centers into the physical layer of AI competition, we think projects may be heavily scrutinized, delayed, or contingent upon certain environmental or community-focused concessions.

In that vein, we see community benefits and local economic trade-offs as increasingly important, we think the three key levers to improve data center efficiency and address community concerns are:

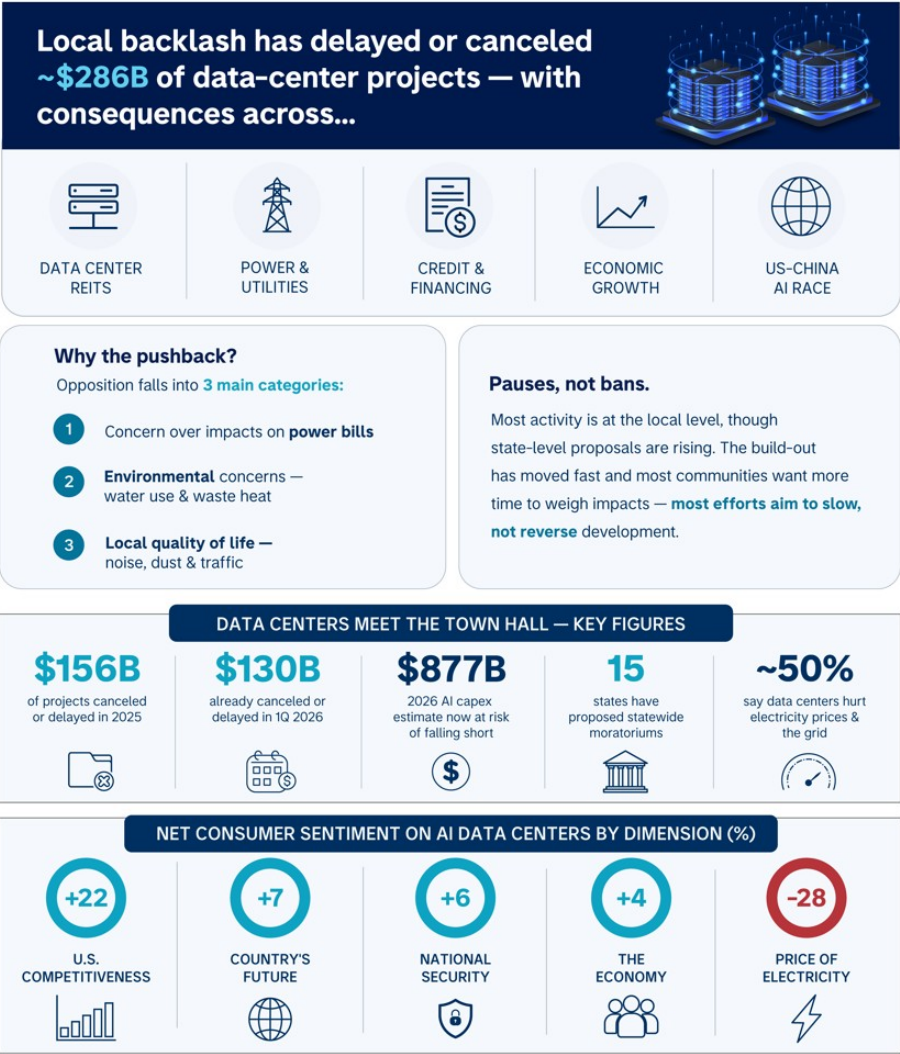
1. **Utilization:** Improving utilization of existing data center capacity is one of the most immediate ways to increase efficiency, particularly as many facilities operate at only 30–40% utilization despite their high capital intensity. Better use of existing infrastructure can reduce the need for incremental capacity additions and improve the overall return on deployed capital.
2. **Power:** Data centers can address power constraints through on-site generation, demand response, and grid-support services. By combining renewables and storage, shifting non-critical workloads, and using UPS batteries to support grid frequency, operators can improve resilience, lower grid strain, and potentially create new revenue streams.
3. **Water:** Water efficiency is becoming a growing community and operational priority, with policy shifting from outright restrictions toward standards, disclosures, incentives, and performance benchmarks for data center water usage. This creates opportunities for enablers such as liquid cooling, water recycling, wastewater treatment, desalination, and ultra-pure water recovery technologies, all of which can reduce consumption and help operators meet tightening sustainability requirements.

Economic & Market Implications

US Economic Implications: the risk from data center growth is not a sudden nationwide electricity-price shock, but a stickier and more regional electricity inflation impulse. National electricity CPI remains elevated relative to its pre-COVID trend, and we expect it to settle at 4–5% y/y over the medium term as data center demand adds to underlying pressure. The strongest evidence is regional: Data center-heavy markets, particularly the South Atlantic/Northern Virginia, are seeing faster residential electricity inflation and higher wholesale power prices. The consumer impact is likely to be uneven and regressive, with affordability pressure most acute in regions where data center load growth collides with already elevated electricity burdens, transmission constraints, and slower grid expansion.

Equity market implications: we see the elevated political risk environment shifting cost allocation toward large load customers and creating bottlenecks around interconnection and labor. With an estimated ~38GW potential shortfall in power through 2028, we see data centers trending toward onsite generation as an attractive solution to address long lead times (5+ years in certain regions), which should be positive for SEI, INIO, and BE (all OW). We think publicly traded colocation data center REITs (OW EQIX, EW DLR) are largely insulated from the political pushback, as they are much smaller than the hyperscale/AI training data centers & are considered critical infrastructure.

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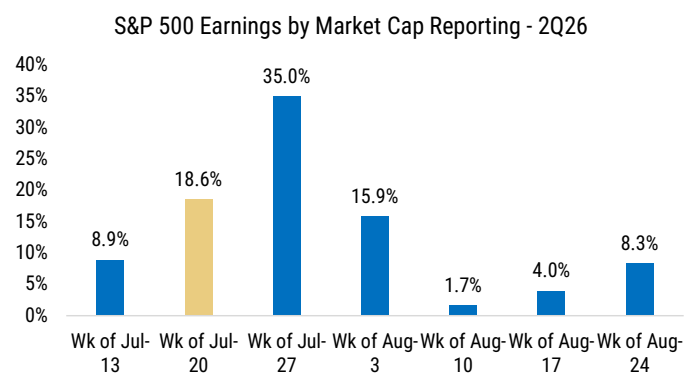


Earnings Season Chartbook

- Financials kicked off earnings season on a strong note, driven by a surge in equities trading, a rebound in investment banking activity, and stable net interest income (NII). The market responded favorably, with T+1 share price reactions averaging +1% on both a mean and median basis.
- 2Q EPS expected at 20% Y/Y and sales at 10% Y/Y. A mid/high single digit beat rate is achievable.
- 2Q EPS estimates have been revised +2% higher into the quarter, contrary to the typical seasonal pattern where estimates are lowered modestly. Thus the bar is slightly higher this quarter.
- S&P 500 earnings revisions breadth (ERB) saw a seasonal pause into earnings season but remains strong in historical context at +19%. We see green shoots on ERB after the first reports from the banks.
- Calendar 2026 earnings have revised higher to 24% y/y. Earnings growth contribution is roughly equal between top-line growth and margin expansion.
- Mag 7 earnings are expected to grow 38% in 2026 vs. 16% for the S&P 493. We are seeing early signs of estimates being revised higher for the S&P 493.
- Dispersion (both price and earnings) is elevated heading into the quarter and we expect this to persist during earnings season, giving room for idiosyncratic price action.

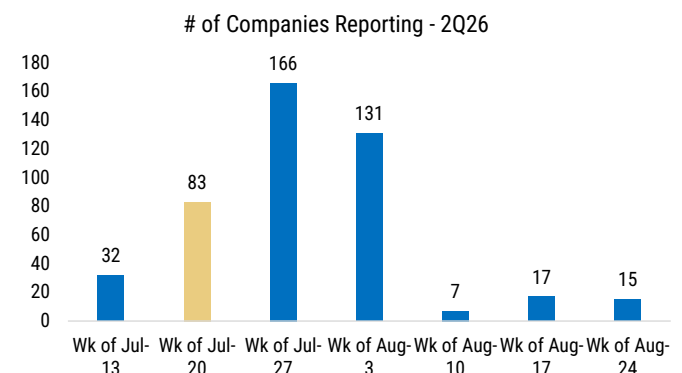
Key Charts

Exhibit 18: 2Q Reporting Season by Market Cap

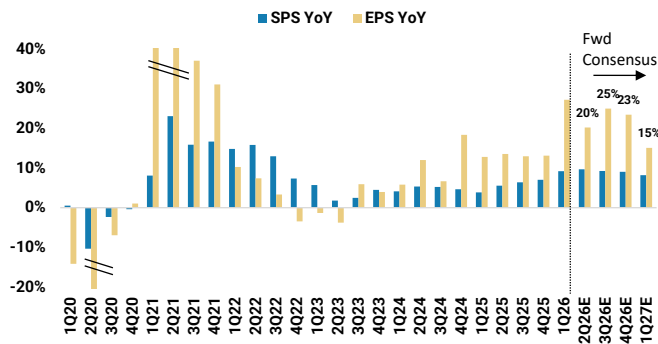


Note: Includes 451 of S&P 500 companies and 95% of S&P market cap reporting from July 10 to Aug. 30
Source: Bloomberg, Morgan Stanley Research

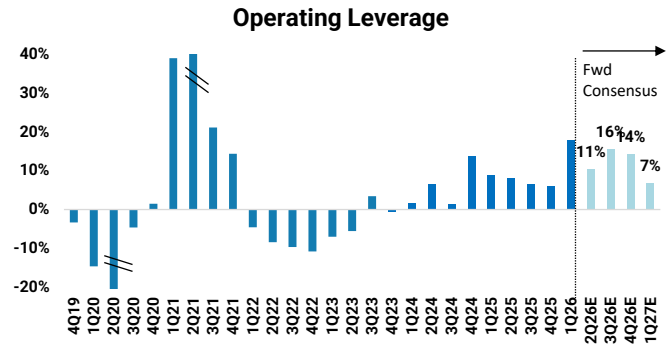
Exhibit 19: 2Q Reporting Season by Company Count



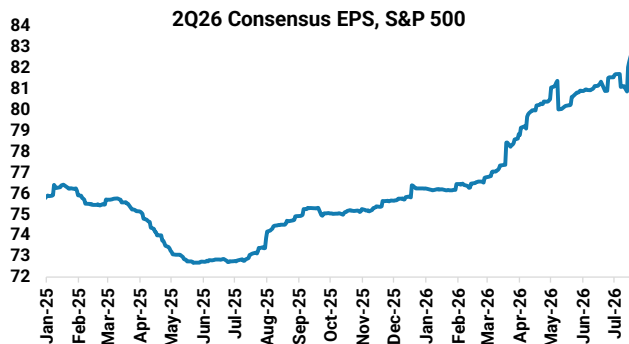
Note: Includes 451 of S&P 500 companies and 95% of S&P market cap reporting from July 10 to Aug. 30
Source: Bloomberg, Morgan Stanley Research

Exhibit 20: Forward SPS and EPS Expectations

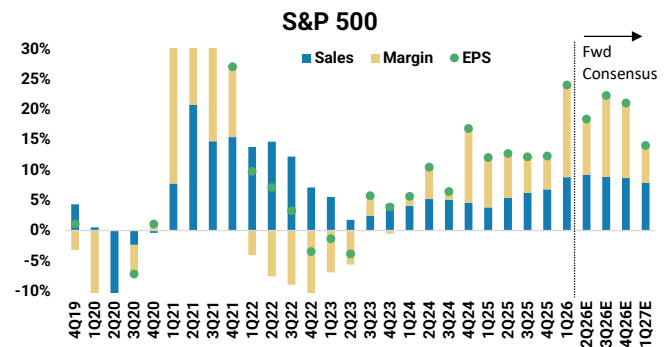
Source: FactSet, Morgan Stanley Research

Exhibit 21: Operating Leverage is Set to Expand in 2026

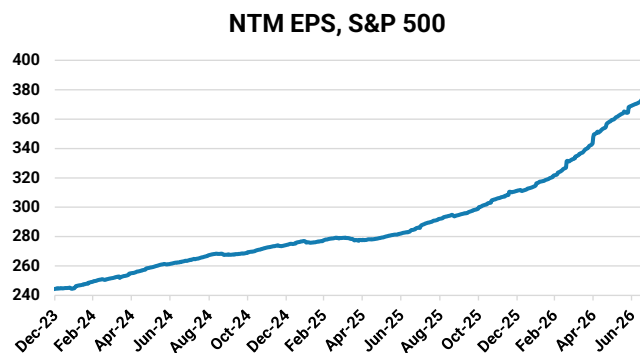
Source: FactSet, Morgan Stanley Research

Exhibit 22: 2Q Estimates Push Higher into EPS Season

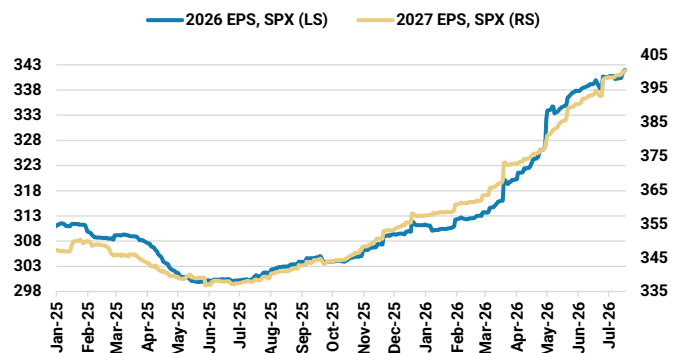
Source: FactSet, Morgan Stanley Research

Exhibit 23: EPS Growth is Coming from Both Top-Line Growth and Margin Expansion

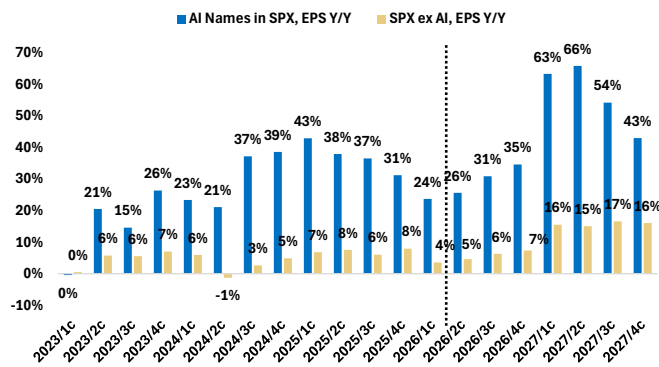
Source: Refinitiv, Morgan Stanley Research

Exhibit 24: Blended Next 12M Earnings Rising Further

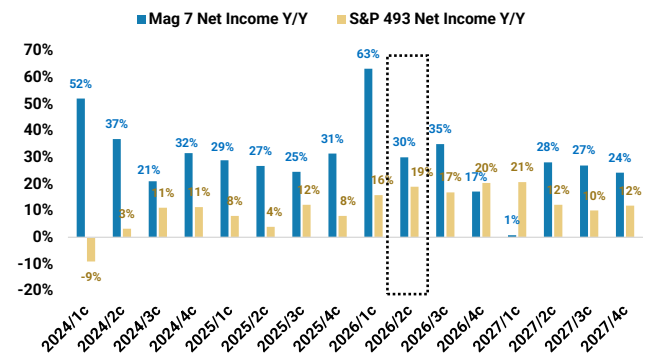
Source: FactSet, Morgan Stanley Research

Exhibit 25: 2026/2027 EPS Estimates Continue to Revise Higher

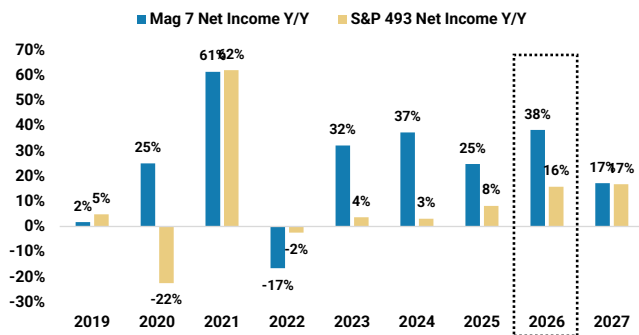
Source: FactSet, Morgan Stanley Research

Exhibit 26: AI vs Non-AI Related Names within S&P 500

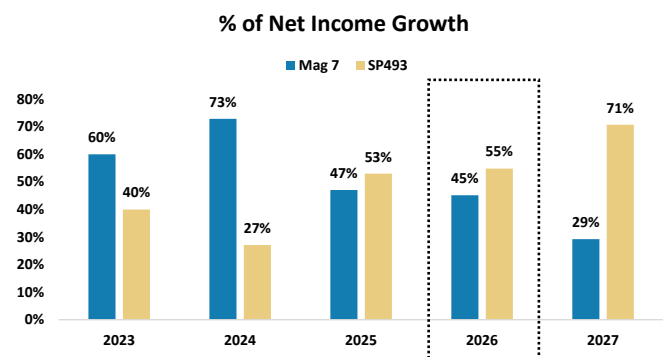
Source: FactSet, Morgan Stanley Research

Exhibit 27: Mag 7 vs SP493 - SP493 Expecting up to 20% Earnings Growth Ahead but Mag 7 Stays Ahead (ex 1Q27 due to comps)

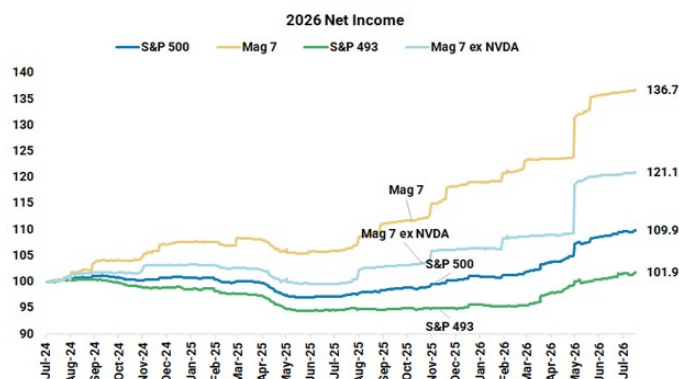
Source: FactSet, Morgan Stanley Research

Exhibit 28: Mag 7 vs SP493 - Estimates are now equal in 2027

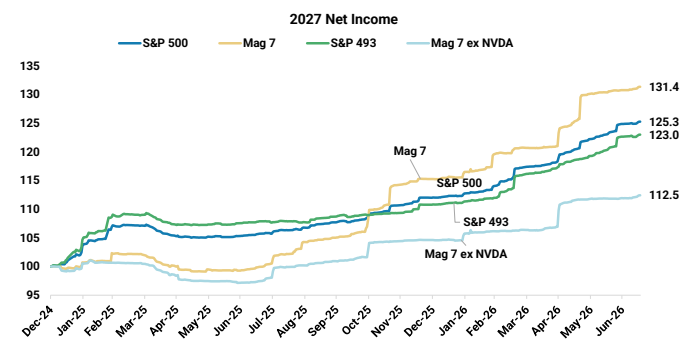
Source: FactSet, Morgan Stanley Research

Exhibit 29: Contribution to S&P 500 Earnings Growth

Source: FactSet, Morgan Stanley Research

Exhibit 30: 2026 Net Income Revisions

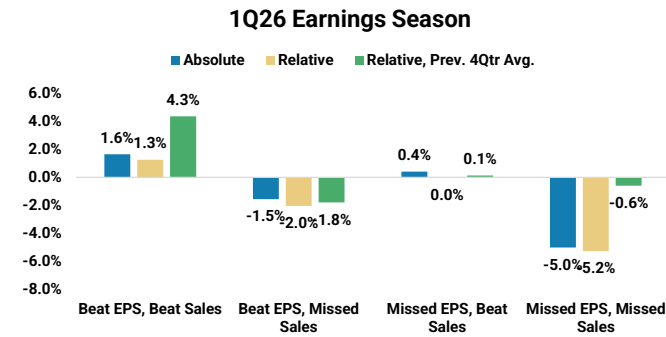
Source: FactSet, Morgan Stanley Research

Exhibit 31: 2027 Net Income Revisions

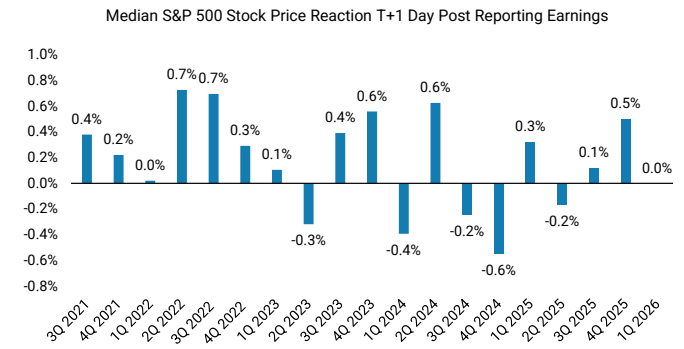
Source: FactSet, Morgan Stanley Research

Price Reaction (1Q 2026)

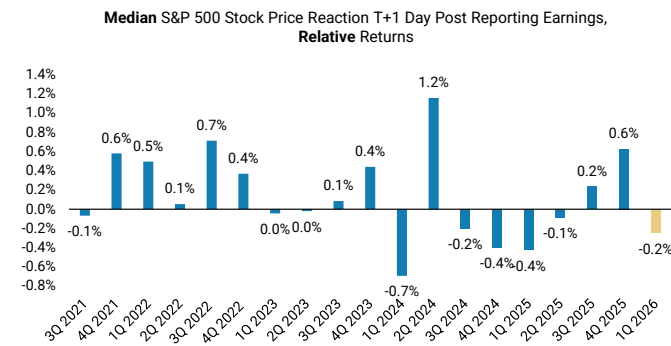
- 1Q saw +0.0% median T+1 price reactions on an absolute basis and -0.2% relative to the broad index.
- Staples, Discretionary, and Materials saw the strongest T+1 price reactions in 1Q26.
- Tech and Industrials saw negative T+1 price reactions in 1Q26.

Exhibit 32: 1Q Price Reaction by Sales/EPS Beats

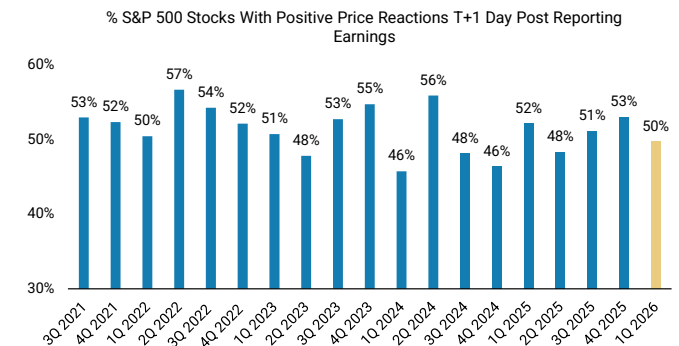
Source: Factset, Morgan Stanley Research

Exhibit 33: T+1 Price Reactions

Source: Factset, Morgan Stanley Research

Exhibit 34: T+1 Relative Price Reactions

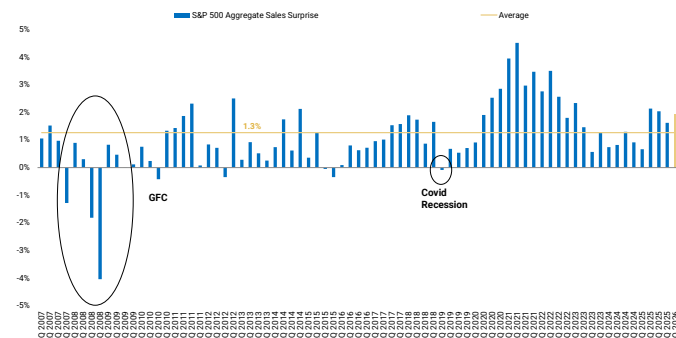
Source: Factset, Morgan Stanley Research

Exhibit 35: Breadth of T+1 Price Reactions

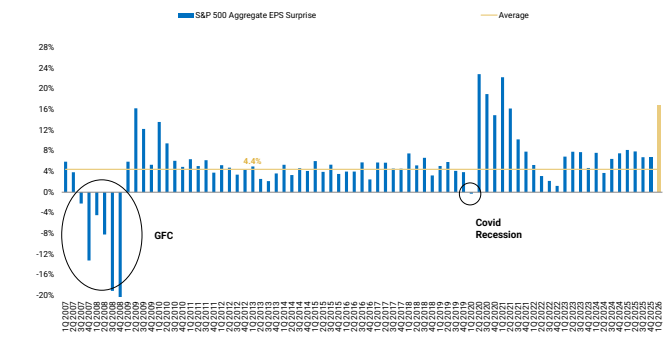
Source: Factset, Morgan Stanley Research

Surprise (1Q26)

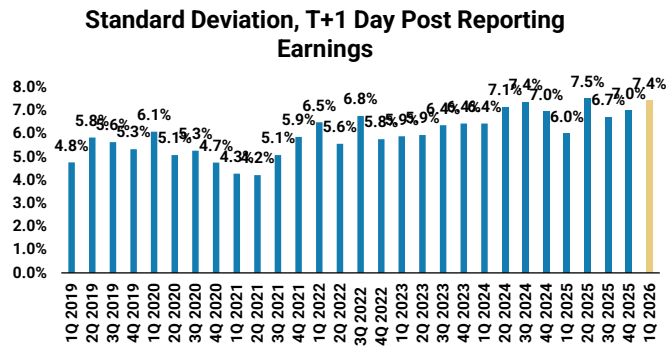
- 1Q EPS surprise at 16.8%, strongly ahead of the historical average of 4.4%.
- 1Q Sales surprise at 1.9%, above the historical average of 1.3%.

Exhibit 36: Sales Surprise: Averages +1% Historically

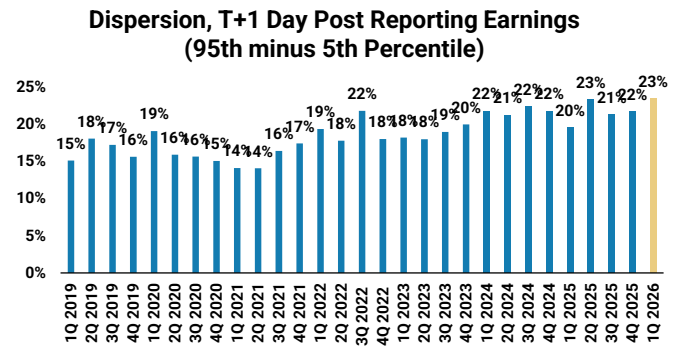
Source: Factset, Morgan Stanley Research

Exhibit 37: EPS Surprise: Averages 4-5% Historically

Source: Factset, Morgan Stanley Research

Exhibit 38: Standard Deviation of T+1 Price Reactions

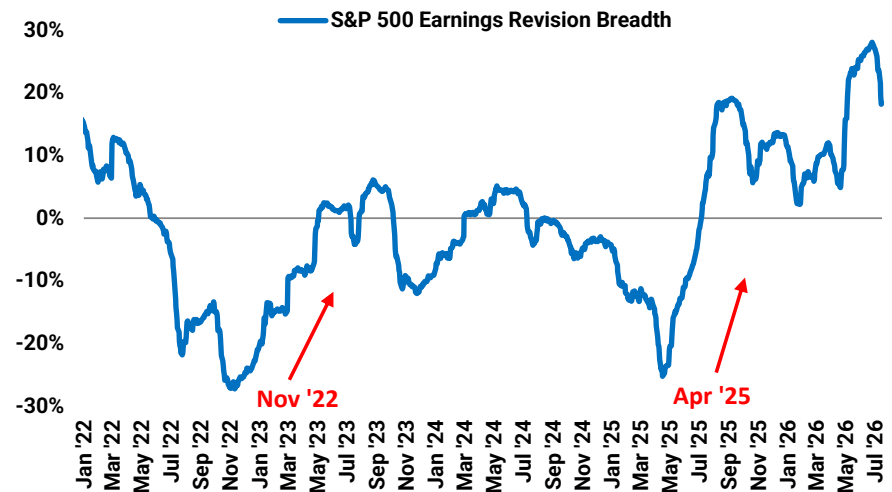
Source: Factset, Morgan Stanley Research

Exhibit 39: Dispersion of T+1 Price Reactions

Source: Factset, Morgan Stanley Research

Company Guidance & Revisions

- S&P 500 earnings revisions breadth (FY2 estimates) is strong in absolute terms at +19% but saw a near-term peak into earning season during a seasonally soft period.
- Financials and Defensives (Utilities, Real Estate, Healthcare) have seen relative ERB strength in the past two weeks as index ERB softened.
- Energy, Tech, and Discretionary have seen the most negative ERB change over the past two weeks.

Exhibit 40: S&P 500 Earnings Revision Breadth

Source: FactSet, Morgan Stanley Research

Exhibit 41: Change in Absolute Earnings Revisions Breadth by Sector & Industry Group

	Earnings Revisions Breadth by Industry Group				
	2 Wk. Chg.	4 Wk. Chg.	8 Wk. Chg.	3 Mo. Chg.	6 Mo. Chg.
Banks	26%	19%	23%	22%	29%
Autos	16%	30%	37%	50%	2%
Transportation	6%	14%	16%	53%	61%
Financials	4%	5%	5%	17%	10%
Diversified Financials	1%	3%	3%	26%	10%
Household & Personal Products	1%	10%	15%	22%	8%
Utilities	0%	-1%	-2%	-3%	-1%
Food & Staples Retailing	0%	-1%	14%	15%	-6%
Consumer Durables	-1%	-6%	1%	0%	3%
HC Equipment & Services	-2%	-7%	-6%	3%	4%
Real Estate	-4%	-2%	-6%	21%	24%
Insurance	-4%	-2%	0%	-2%	0%
Health Care	-5%	-9%	-8%	-2%	1%
Communication Services	-5%	-9%	-10%	-5%	8%
Media & Ent	-6%	-10%	-11%	-5%	4%
S&P 500 Earnings Revisions Breadth	-7%	-8%	-4%	13%	13%
Industrials	-7%	-8%	-8%	21%	28%
Commercial & Professional Services	-8%	-8%	-10%	23%	14%
Consumer Services	-8%	-6%	-3%	9%	-9%
Materials	-8%	-13%	-14%	6%	18%
Staples	-8%	-1%	7%	22%	8%
Pharma, Biotech, & Life Sciences	-8%	-12%	-12%	-8%	-3%
Consumer Discretionary	-9%	-8%	3%	18%	2%
Retailing	-10%	-8%	10%	22%	8%
Capital Goods	-11%	-15%	-15%	10%	21%
Software & Services	-12%	-12%	12%	43%	2%
Tech Hardware	-14%	-20%	-11%	24%	31%
Tech	-15%	-15%	-3%	14%	12%
Semis	-16%	-11%	-1%	19%	29%
Food Beverage & Tobacco	-18%	-7%	-2%	24%	13%
Telecom	-18%	-30%	-34%	6%	11%
Energy	-18%	-35%	-36%	-26%	27%

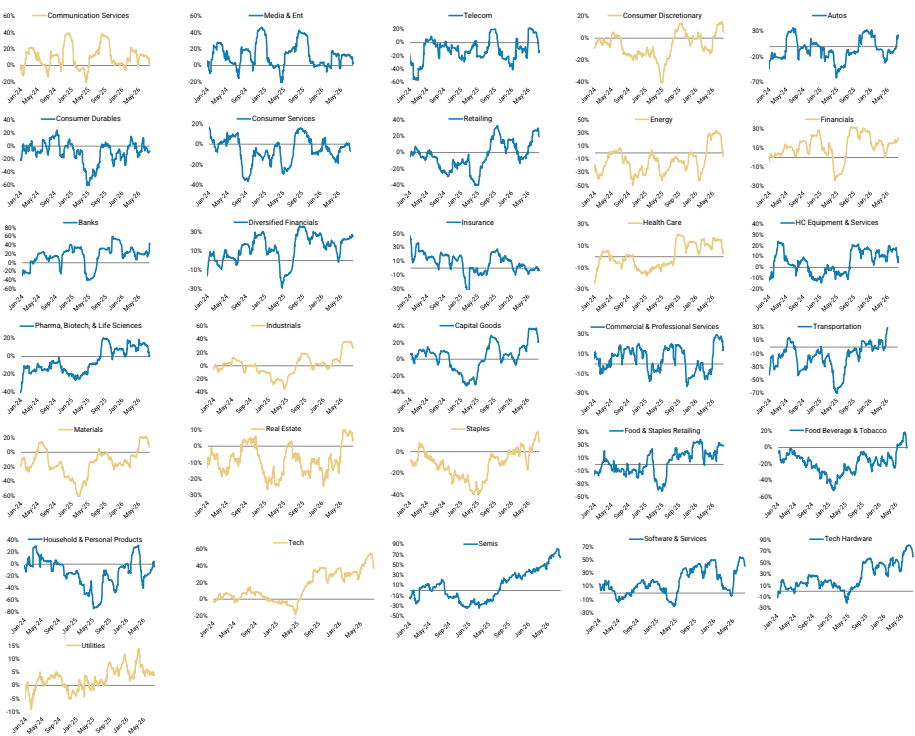
Source: Factset, Morgan Stanley Research

Exhibit 42: Revisions to 2Q26, 2026, and 2027 Earnings Estimates

Sector, Industry Group	YTD			Since 5/31/2026		
	2Q26	2026	2027	2Q26	2026	2027
Communication Services	0.5%	12.4%	5.0%	-0.1%	-0.2%	0.0%
Media & Entertainment	-3.6%	11.0%	2.5%	0.2%	-0.1%	0.2%
Telecom	9.0%	8.3%	7.3%	-0.3%	0.1%	-0.1%
Consumer Discretionary	-2.0%	3.9%	0.3%	1.8%	0.0%	0.4%
Autos	-1.3%	2.0%	-3.3%	6.5%	1.8%	0.5%
Consumer Durables	6.4%	-3.8%	-8.4%	18.9%	0.0%	-2.8%
Consumer Services	-6.7%	-3.0%	-1.1%	0.6%	-0.3%	-0.3%
Retailing	-1.4%	8.1%	2.8%	-0.4%	-0.1%	1.2%
Energy	101.3%	54.8%	19.3%	2.7%	-0.6%	-0.9%
Financials	12.2%	4.8%	3.0%	13.0%	3.4%	1.7%
Banks	23.4%	8.9%	5.1%	23.0%	5.9%	2.4%
Diversified Financials	5.5%	2.6%	2.8%	6.6%	2.4%	2.0%
Insurance	8.7%	2.9%	-0.7%	10.6%	1.0%	-0.4%
Health Care	-24.3%	-7.3%	1.6%	-9.9%	-1.8%	0.5%
HC Equipment & Services	5.5%	1.6%	0.1%	6.2%	1.2%	1.1%
Pharma, Biotech, & Life Sciences	-42.2%	-12.6%	2.6%	-22.8%	-3.8%	0.2%
Industrials	-4.8%	1.9%	1.9%	0.1%	0.2%	0.0%
Capital Goods	-2.1%	4.0%	1.9%	-0.2%	0.1%	0.2%
Commercial & Professional Services	-1.7%	-0.9%	-0.3%	0.1%	0.1%	0.1%
Transportation	-12.9%	-1.9%	4.2%	1.0%	0.8%	-0.8%
Materials	10.8%	13.8%	11.8%	0.1%	-1.2%	-0.2%
Real Estate	0.6%	-0.3%	-0.5%	0.4%	-0.1%	-0.1%
Staples	-2.8%	-1.3%	-1.6%	-0.7%	-0.7%	-0.8%
Food & Staples Retailing	-1.1%	0.1%	-0.2%	-0.4%	0.0%	-0.1%
Food Beverage & Tobacco	-2.0%	-1.0%	-0.9%	-0.7%	-1.1%	-1.3%
Household & Personal Products	-5.5%	-1.7%	-3.0%	-0.5%	-0.3%	-0.4%
Tech	21.0%	20.8%	32.7%	2.7%	3.5%	6.8%
Semis	34.9%	35.5%	55.8%	5.1%	6.6%	11.5%
Software & Services	-0.4%	2.9%	2.3%	-0.3%	-0.4%	-0.5%
Tech Hardware	23.5%	17.4%	25.4%	1.3%	1.9%	3.6%
Utilities	-3.0%	0.8%	0.8%	-3.0%	0.1%	0.1%
S&P 500	8.4%	9.9%	11.9%	2.1%	1.2%	2.5%

Source: FactSet, Morgan Stanley Research

Exhibit 43: S&P 500 ERB by Sector (yellow), Industry Group (blue)

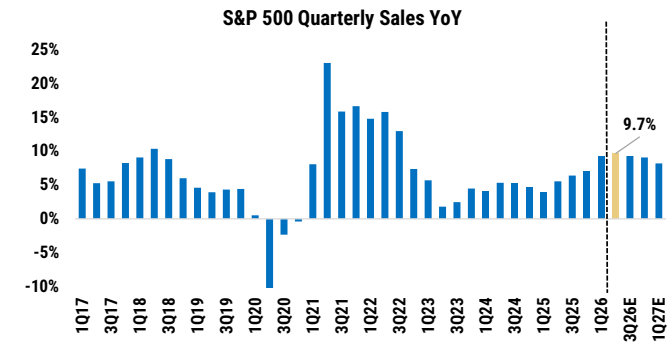


Source: FactSet, Morgan Stanley Research

Sales

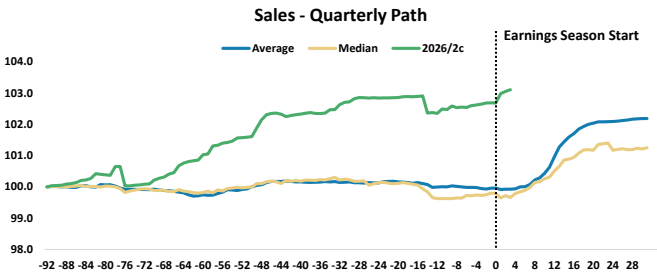
- Consensus expects 10% sales growth in 2Q.
- Consensus expects 10% 2026 Sales growth and 8% 2027 EPS growth

Exhibit 44: 2Q26 Sales

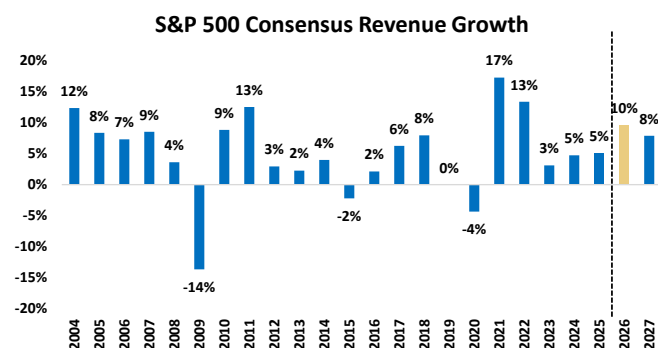


Source: FactSet, Morgan Stanley Research

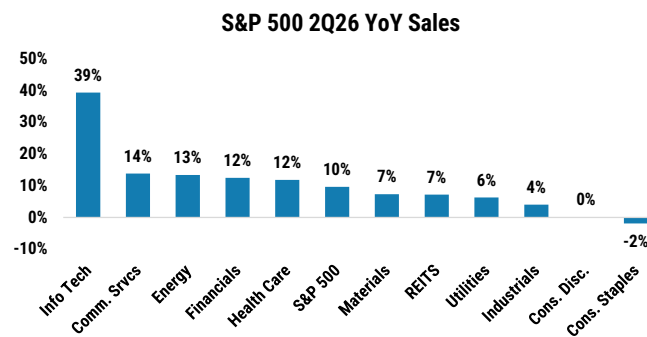
Exhibit 45: Quarterly Sales Seasonality



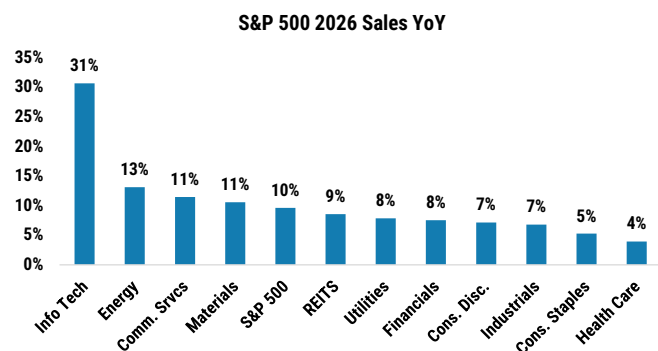
Source: FactSet, Morgan Stanley Research

Exhibit 46: Annual Sales Growth Steps Up in 2026/2027

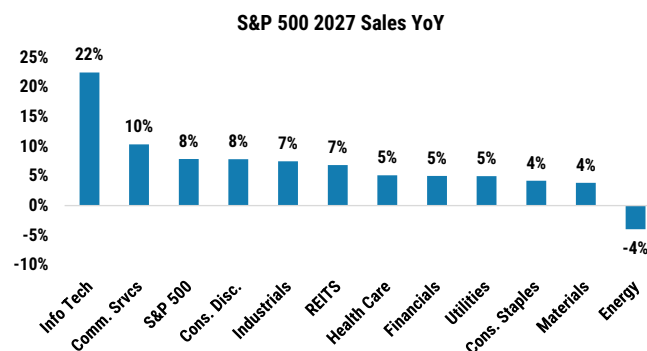
Source: FactSet, Morgan Stanley Research

Exhibit 47: 2Q26 Sales by Sector

Source: FactSet, Morgan Stanley Research

Exhibit 48: 2026 Consensus Sales

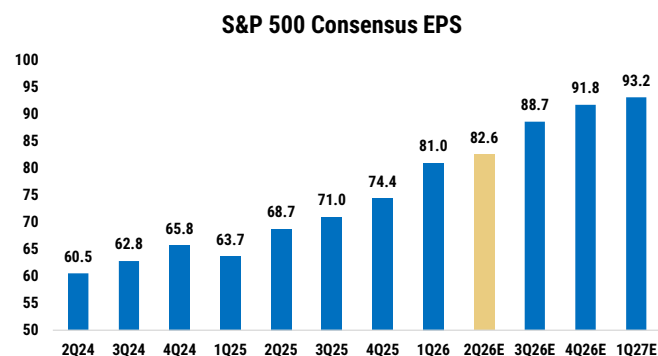
Source: FactSet, Morgan Stanley Research

Exhibit 49: 2027 Consensus Sales

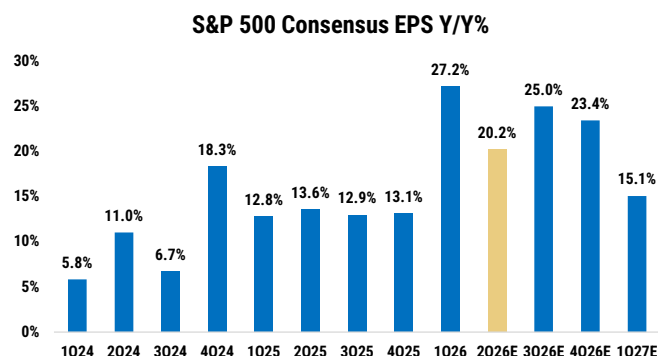
Source: FactSet, Morgan Stanley Research

EPS

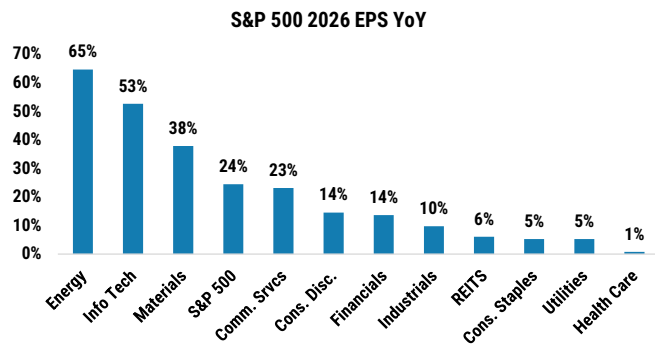
- Consensus expects 20% EPS growth in 2Q.
- Consensus expects 24% 2026 EPS growth and 17% 2027 EPS growth.

Exhibit 50: S&P 500 Consensus EPS

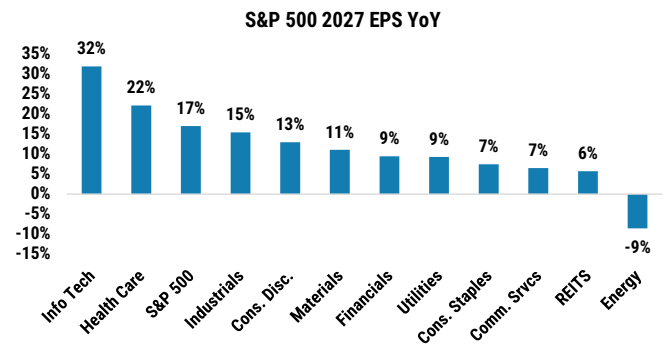
Source: FactSet, Morgan Stanley Research

Exhibit 51: Consensus Expects 19% EPS Growth in 2Q

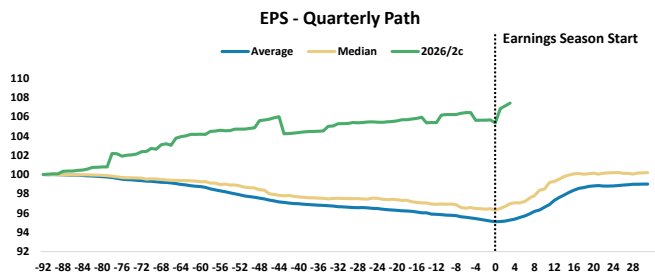
Source: FactSet, Morgan Stanley Research

Exhibit 52: 2026 EPS Growth by Sector

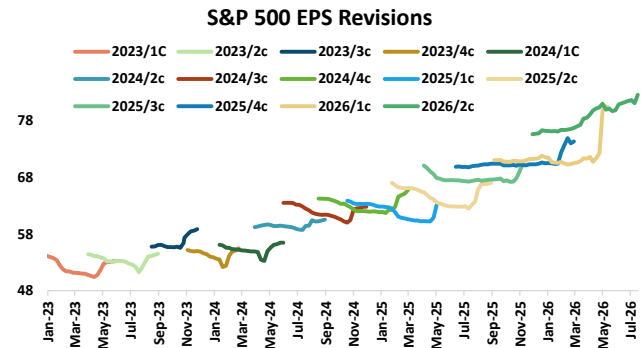
Source: FactSet, Morgan Stanley Research

Exhibit 53: 2027 EPS Growth by Sector

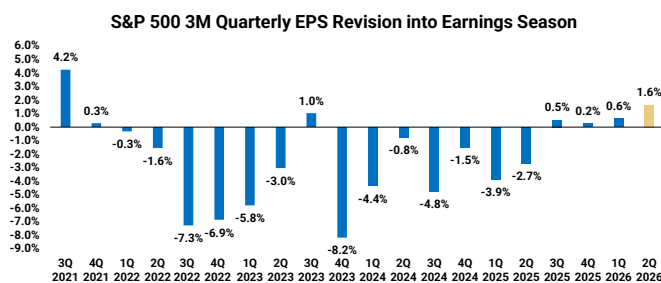
Source: FactSet, Morgan Stanley Research

Exhibit 54: Quarterly EPS Seasonality

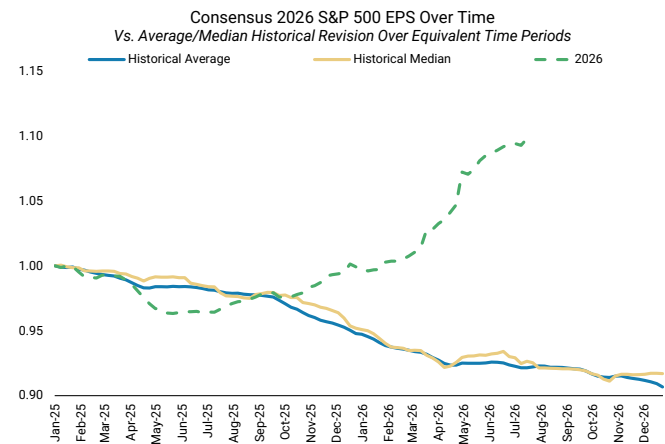
Source: FactSet, Morgan Stanley Research

Exhibit 55: S&P 500 EPS Revisions by Quarter

Source: FactSet, Morgan Stanley Research

Exhibit 56: Earnings Revisions into Reporting

Source: FactSet, Morgan Stanley Research

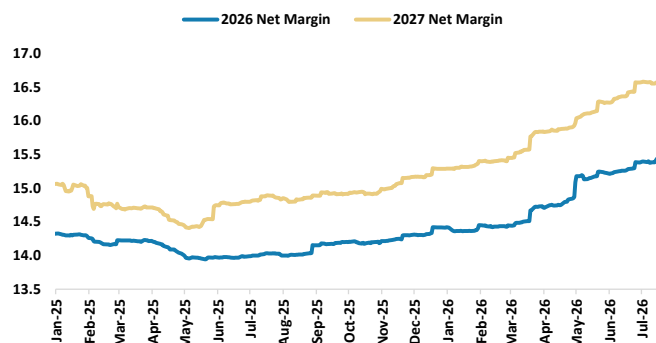
Exhibit 57: Seasonality of Out-Year Earnings Estimates vs 2026

Source: FactSet, Morgan Stanley Research

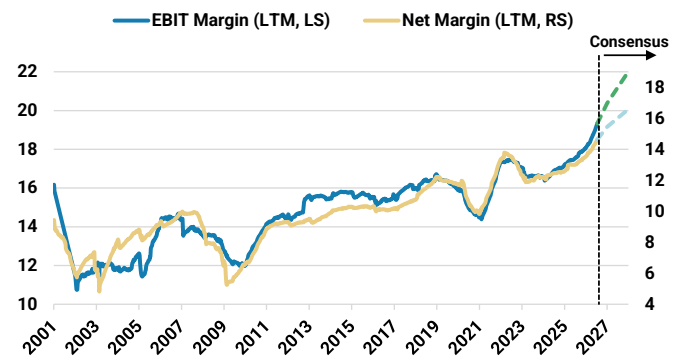
Margins

- Realized (LTM) EBIT margins are at 19.3% today and are expected to be 20.4% for FY2026 and 22.0% for FY2027.
- Realized (LTM) net margins are at 14.6% today and are projected at 15.4% for FY2026 and 16.6% for FY2027.

- 1Q consensus margins are at 15.1% for the S&P 500.

Exhibit 58: Margin Revisions Have Slowed in Recent Months

Source: FactSet, Morgan Stanley Research

Exhibit 59: Margins Are Expected to Push Higher into 2026

Source: FactSet, Morgan Stanley Research

Exhibit 60: 2026 EBIT Margin

2026 EBIT Margin			
Sector, Industry Group	12/31/2025	7/19/2026	Spread
Communication Services	26.5	26.5	0.0%
Media & Entertainment	27.7	29.3	1.6%
Telecom	22.3	20.2	-2.1%
Consumer Discretionary	12.4	12.4	0.0%
Autos	6.4	6.7	0.2%
Consumer Durables	13.0	12.7	-0.3%
Consumer Services	21.9	21.4	-0.5%
Retailing	12.5	12.4	-0.1%
Energy	13.0	16.7	3.7%
Health Care	10.4	10.0	-0.4%
HC Equipment & Services	5.0	5.1	0.1%
Pharma, Biotech, & Life Sciences	36.6	32.4	-4.2%
Industrials	15.3	15.1	-0.2%
Capital Goods	15.6	15.5	-0.1%
Commercial & Professional Services	22.3	22.5	0.2%
Transportation	12.8	12.3	-0.4%
Materials	17.0	18.1	1.1%
Staples	9.8	9.6	-0.1%
Food & Staples Retailing	4.3	4.3	0.0%
Food Beverage & Tobacco	16.9	17.1	0.2%
Household & Personal Products	21.7	21.2	-0.5%
Tech	37.3	40.0	2.7%
Semis	51.6	56.6	5.0%
Software & Services	37.2	37.7	0.5%
Tech Hardware	25.1	26.4	1.3%
Utilities	24.6	24.6	0.0%
S&P 500	19.4	20.4	1.0%

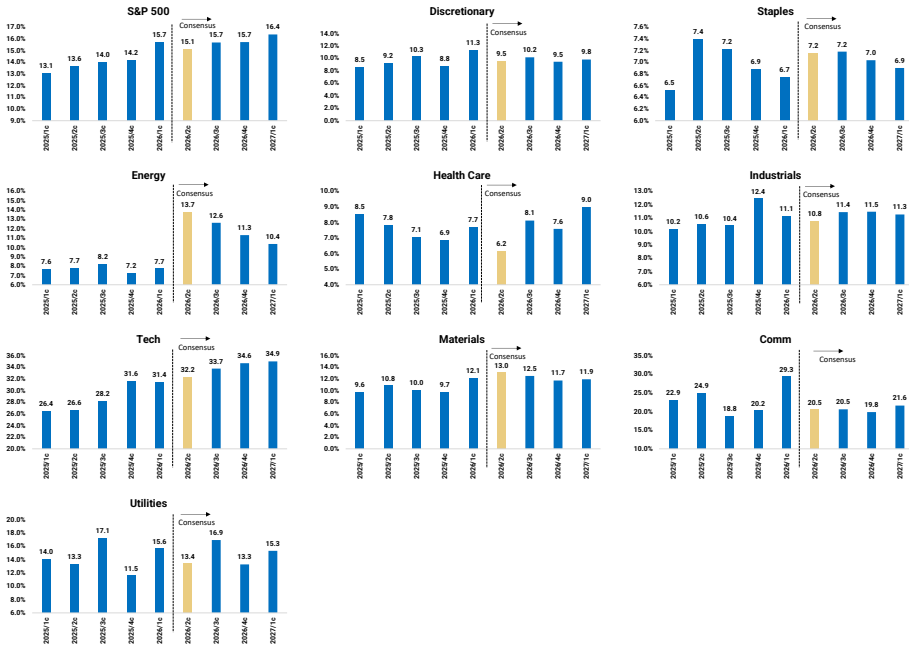
Source: FactSet, Morgan Stanley Research

Exhibit 61: 2026 Net Margin

2026 Net Margin			
Sector, Industry Group	12/31/2025	7/19/2026	Spread
Communication Services	20.3	22.3	2.0%
Media & Entertainment	22.3	27.0	4.7%
Telecom	13.5	12.0	-1.5%
Consumer Discretionary	9.7	10.1	0.3%
Autos	5.2	5.5	0.2%
Consumer Durables	10.0	9.8	-0.2%
Consumer Services	16.0	15.4	-0.5%
Retailing	9.9	10.5	0.6%
Energy	8.5	11.2	2.8%
Health Care	7.9	7.4	-0.5%
HC Equipment & Services	3.6	3.7	0.1%
Pharma, Biotech, & Life Sciences	29.3	24.9	-4.4%
Industrials	11.2	11.2	0.0%
Capital Goods	11.4	11.7	0.3%
Commercial & Professional Services	15.7	15.8	0.1%
Transportation	9.2	8.6	-0.6%
Materials	11.2	12.2	1.0%
Staples	7.2	7.1	-0.1%
Food & Staples Retailing	3.0	3.0	0.0%
Food Beverage & Tobacco	12.4	12.5	0.1%
Household & Personal Products	16.6	16.2	-0.4%
Tech	30.5	32.9	2.5%
Semis	43.6	47.8	4.2%
Software & Services	29.3	30.2	0.9%
Tech Hardware	20.3	21.3	1.0%
Utilities	15.2	15.0	-0.3%
S&P 500	14.4	15.4	1.0%

Source: FactSet, Morgan Stanley Research

Exhibit 62:
Net Margins by Sector



Source: FactSet, Morgan Stanley Research

2Q Systematic Earnings Preview (Full MS Coverage)

Summary:

- **Previews:** KPI previews are +23% vs +24% net positive last quarter and NTM EPS previews are +21% vs +19% last quarter on projected NTM impacts. Previews are currently net positive across all sectors with the exception of Materials thus far.

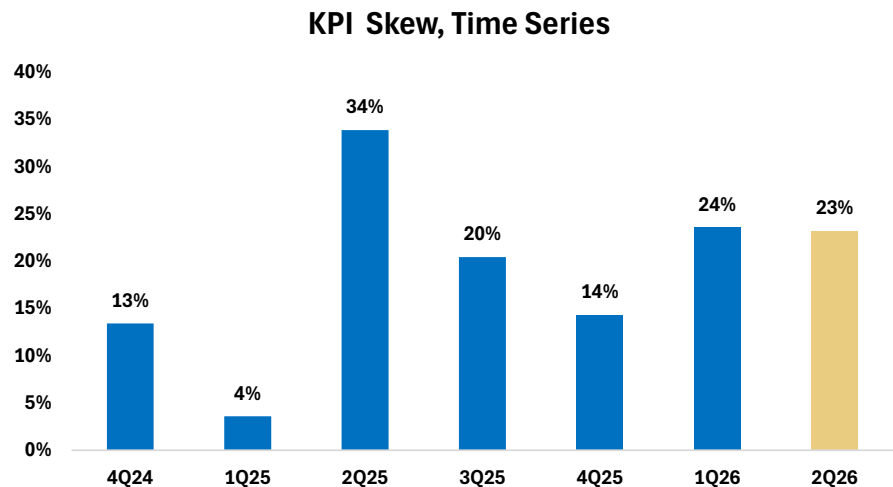
2Q Preview Tracking

Our Morgan Stanley Analysts submit a systematic earnings preview where they forecast two items: 1) **KPI** and 2) **NTM EPS** impact. Below we summarize the sector and industry summaries of these previews. The population is the Morgan Stanley US coverage, which is broader than the S&P 500 and roughly similar to the Russell 1000.

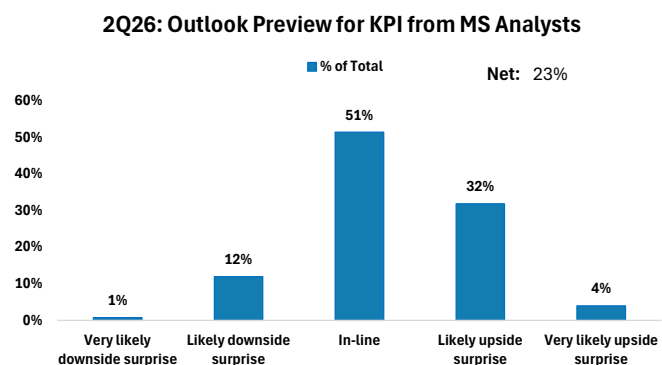
Methodology: Each analyst identifies the key performance indicator (KPI) for each individual stock and it may differ from NTM EPS. For example, the KPI for a Financial Services or Semiconductor company may be net assets or GPU demand and this may differ from NTM EPS (although, it is often similar). Each analyst chooses one of five forecasts for both KPI and EPS: very negative, negative, in-line, positive, or very positive. We roll up these previews into a net score by taking (positive-negative)/total reactions.

Key Performance Indicator (KPI) Previews

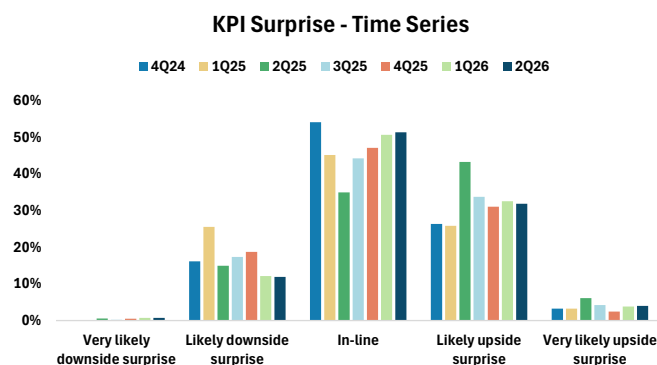
Exhibit 63: KPI Previews from MS Analysts - Net KPI



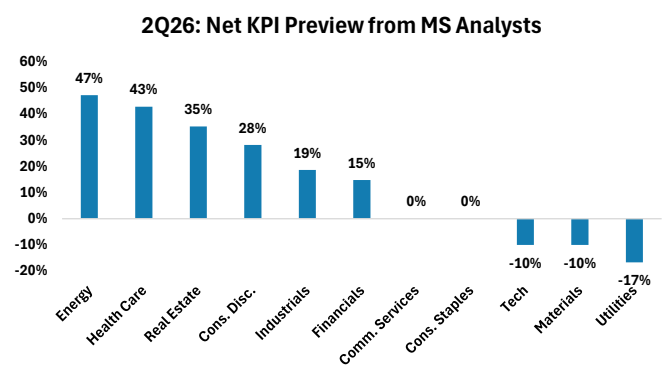
Source: Morgan Stanley Research

Exhibit 64: KPI Preview from MS Analysts - 2Q26

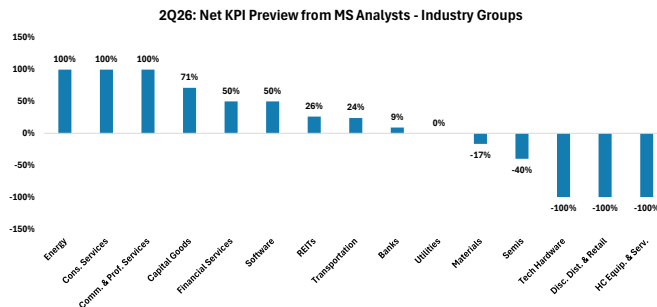
Source: Morgan Stanley Research

Exhibit 65: KPI Preview- Quarterly Time Series

Source: Morgan Stanley Research

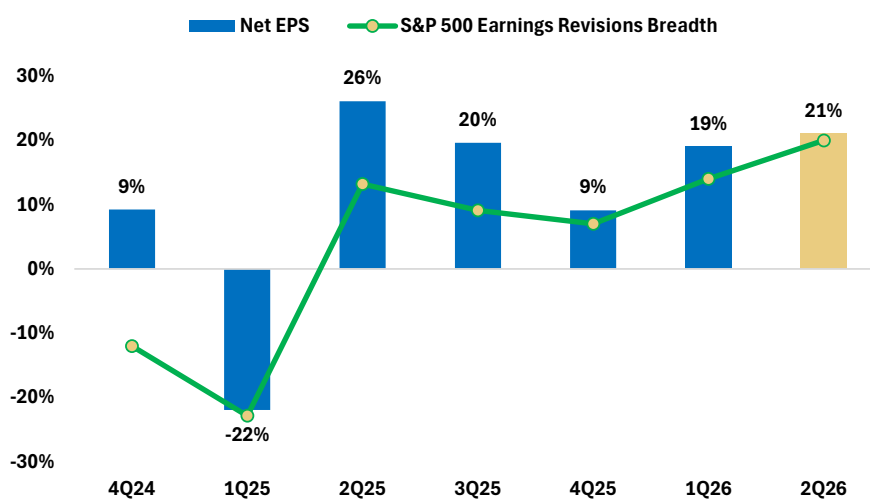
Exhibit 66: KPI Preview by Sector

Source: Morgan Stanley Research

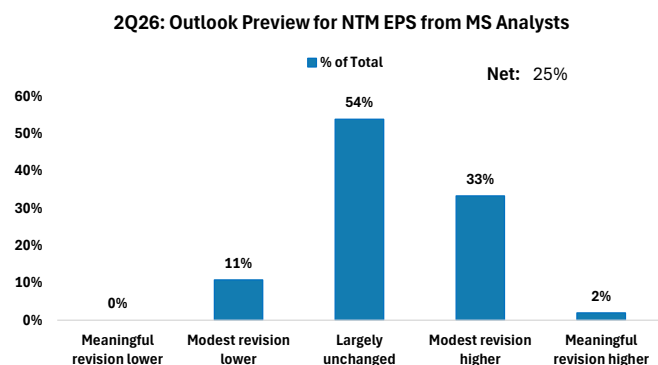
Exhibit 67: KPI Preview by Industry Group

Source: Morgan Stanley Research

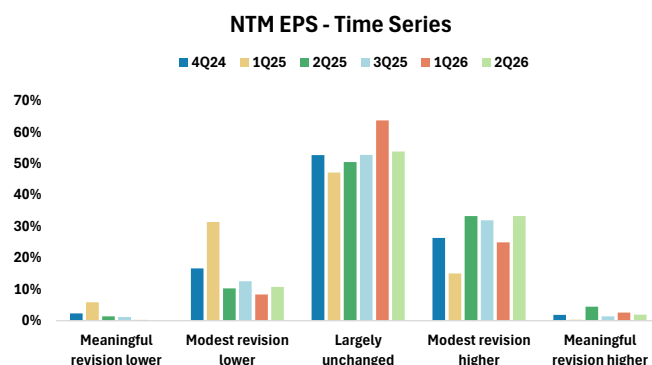
EPS Previews

Exhibit 68: EPS Preview from MS Analysts - Net EPS

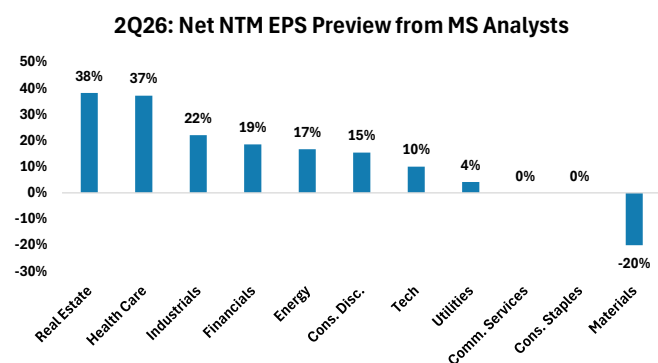
Source: Morgan Stanley Research. ERB is earnings revisions breadth.

Exhibit 69: EPS Preview from MS Analysts - 2Q26

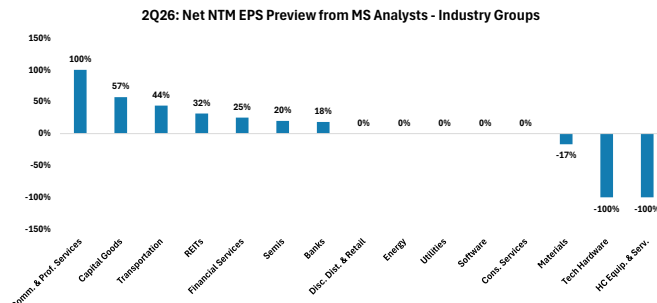
Source: Morgan Stanley Research

Exhibit 70: EPS Preview - Quarterly Time Series

Source: Morgan Stanley Research

Exhibit 71: EPS Preview by Sector

Source: Morgan Stanley Research

Exhibit 72: EPS Preview by Industry Group

Source: Morgan Stanley Research

Screen 1: Favored Stocks with Positive Surprise Expected

We screen for OW-rated stocks that are expected to beat on key KPI, or to see N12M consensus EPS revised higher post results.

Exhibit 73: Favored Stocks with Positive Surprise Expected

Ticker	Company	Analyst	Sector	Mkt Cap (\$bn)	Last Price	MS Rating	Reporting date	Analyst Identified KPI	Outlook for KPI Trend	Exp. N12M Cons. EPS Impact Trend	Analyst Top Pick
UAL	United Airlines Holdings, Inc.	Ravi Shanker	Industrials	39	115.41	OW	7/15/2026	FY Guide	↗	↗	-
UNH	UnitedHealth Group Inc	Erin Wright	Health Care	278	426.06	OW	7/16/2026	MLR	↗	↗	Top
STT	State Street Corporation	Manan Gosalia	Financials	52	187.56	OW	7/16/2026	Medium Term ROTCE Guide	↗	↗	-
ZION	Zions Bancorporation NA	Manan Gosalia	Financials	11	72.27	OW	7/20/2026	2026 Operating Leverage	↗	↗	-
EQT	EQT Corp.	Devin McDermott	Energy	31	49.57	OW	7/21/2026	2026 Production Guide	↗	↗	-
HAL	Halliburton Co.	Joe Laetsch, CFA	Energy	59	35.22	OW	7/21/2026	2027 NAm & Int'l Upstream Spending Outlook	↗	↗	-
WHI	Wyndham Hotels & Resorts Inc	Stephen W Grambling	Cons. Disc.	7	76.52	OW	7/22/2026	RevPAR	↗	↗	-
GEV	GE Vernova	David Arcaro, CFA	Industrials	282	1057.44	OW	7/22/2026	New Gas Turbine Contracts	↗	↗	-
NOW	ServiceNow Inc	Sanjit K Singh	IT	108	103.25	OW	7/22/2026	cc cRPO Growth	↗	↗	-
LUV	Southwest Airlines Co.	Ravi Shanker	Industrials	27	48.08	OW	7/22/2026	Idiosyncratic Revenue Initiatives	↗	↗	-
ROL	Rollins Inc.	Greg Parrish, CFA	Industrials	22	45.12	OW	7/22/2026	Organic Revenue Growth	↗	↗	-
LBRT	Liberty Oilfield Services Inc	Joe Laetsch, CFA	Energy	4	23.82	OW	7/22/2026	2H26-27 NAm O&C Activity & Pricing Outlook	↗	↗	-
TNL	Travel & Leisure Co.	Stephen W Grambling	Cons. Disc.	0	73.28	OW	7/22/2026	Gross VOI Sales	↗	↗	-
DGX	Quest Diagnostics Inc.	Erin Wright	Health Care	24	210.55	OW	7/23/2026	Organic Volume Growth	↗	↗	-
AAL	American Airlines Group Inc	Ravi Shanker	Industrials	10	14.98	OW	7/23/2026	Margin Execution	↗	↗	-
SLB	Schlumberger NV	Joe Laetsch, CFA	Energy	71	46.99	OW	7/24/2026	2027 NAm & Int'l Upstream Spending Outlook	↗	↗	-
TJFC	TJ Cos. Inc.	Craig Hettenbach	Health Care	17	194.89	OW	7/24/2026	EBITDA Margin	↗	↗	-
WELL	Welltower Inc.	Ronald Kamdem, CFA	Real Estate	177	243.25	OW	7/27/2026	same-store NOI growth	↗	↗	-
HLT	Hilton Worldwide Holdings Inc	Stephen W Grambling	Cons. Disc.	75	321.47	OW	7/28/2026	RevPAR	↗	↗	-
BE	Bloom Energy Corp.	David Arcaro, CFA	Industrials	50	214.72	OW	7/28/2026	Framework agreements	↗	↗	-
DINO	HF Sinclair Corp	Joe Laetsch, CFA	Energy	16	88.61	OW	7/28/2026	Lubricants & Specialties Earnings	↗	↗	-
TRU	TransUnion	Toni Kaplan	Industrials	16	79.83	OW	7/28/2026	Organic revenue growth	↗	↗	-
UMBF	UMB Financial Corp.	Brian Wilczynski, CFA	Financials	11	145.99	OW	7/28/2026	Core Net Interest Margin	↗	↗	-
NBR	Nabors Industries Inc.	Joe Laetsch, CFA	Energy	1	83.95	OW	7/28/2026	2H26-27 NAm O&C Activity & Pricing Outlook	↗	↗	-
LRXC	Lam Research Corp	Shane Brett	IT	403	313.30	OW	7/29/2026	SeqO Guide	↗	↗	-
CBRE	CBRE Group Inc	Ronald Kamdem, CFA	Real Estate	42	140.99	OW	7/29/2026	Adjusted EPS per share growth	↗	↗	-
AKCB	Acadell Corp	Ravi Shanker	Industrials	4	159.81	OW	7/29/2026	Asset-Based OR Guidance	↗	↗	-
H	Huatt Hotels Corporation	Stephen W Grambling	Cons. Disc.	18	190.64	OW	7/30/2026	RevPAR	↗	↗	-
LH	Laboratory Corp. of America Holdings	Erin Wright	Health Care	23	283.42	OW	7/30/2026	Organic Volume Growth	↗	↗	-
CVX	Chevron Corporation	Devin McDermott	Energy	270	187.36	OW	7/31/2026	EPS, Production	↗	↗	-
RTSG	RingierSpring Health Services	Erin Wright	Health Care	16	70.69	OW	7/31/2026	Specialty Pharmacy Growth	↗	↗	-
TEX	Texco Corp.	Angel Castillo	Industrials	7	65.40	OW	7/31/2026	FY26 Guidance	↗	↗	-
HNGE	Hinge Health Inc.	Craig Hettenbach	Health Care	7	87.03	OW	8/4/2026	Revenue	↗	↗	-
MPC	Marathon Petroleum Corp	Joe Laetsch, CFA	Energy	90	312.62	OW	8/4/2026	Refining margin capture	↗	↗	-
DVN	Devon Energy Corp	Devin McDermott	Energy	50	43.83	OW	8/4/2026	2Q Oil Production, 2026 Guidance	↗	↗	-
IDXX	IDEXX Laboratories, Inc.	Erin Wright	Health Care	46	567.44	OW	8/4/2026	CAG Dr Recurring Organic Revenue Growth	↗	↗	-
IFF	International Flavors & Fragrances	Lisa H De Neve	Materials	20	78.22	OW	8/4/2026	LFL/Adj EPS	↗	↗	Top
CVS	CVS Health Corp	Erin Wright	Health Care	137	107.50	OW	8/5/2026	MLR	↗	↗	-
MCK	McKesson Corporation	Erin Wright	Health Care	102	841.47	OW	8/5/2026	Oncology & Multispecialty EBIT	↗	↗	-
MAR	Marriott International Inc.	Stephen W Grambling	Cons. Disc.	98	366.24	OW	8/5/2026	RevPAR	↗	↗	-
CMH	Cummins Inc.	Angel Castillo	Industrials	90	648.51	OW	8/5/2026	PSB/EBITDA Margin	↗	↗	-
PSX	Phillips 66	Joe Laetsch, CFA	Energy	81	206.86	OW	8/5/2026	Net Debt	↗	↗	-
COR	AmerisourceBergen Corp.	Erin Wright	Health Care	59	307.95	OW	8/5/2026	US HC Solutions EBIT	↗	↗	-
CKW	Cushman & Wakefield PLC	Ronald Kamdem, CFA	Real Estate	3	13.65	OW	8/5/2026	Adjusted EPS per share growth	↗	↗	-
AIR	American Healthcare REIT, Inc.	Ronald Kamdem, CFA	Real Estate	11	57.16	OW	8/5/2026	same-store NOI growth	↗	↗	-
PRM	Perimeter Solutions	Joe Laetsch, CFA	Materials	6	34.41	OW	8/7/2026	2026 EBITDA Outlook	↗	↗	-
LFST	Lifescience Health Group, Inc.	Craig Hettenbach	Health Care	4	11.58	OW	8/7/2026	Revenue	↗	↗	-
OMDA	Omada Health Inc.	Craig Hettenbach	Health Care	1	23.70	OW	8/7/2026	Revenue	↗	↗	-
CAH	Cardinal Health Inc.	Erin Wright	Health Care	54	228.53	OW	8/11/2026	Pharma/Specialty EBIT	↗	↗	-

For valuation methodology and risks associated with any price targets referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-5424-4349. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA. Note: Screen systematically looks at MS Analyst earnings previews and filters for Overweight or Equal Weight rated stocks where the Analyst expects upside in the Key Performance Indicator (KPI). The KPI may differ from their view on EPS impact. Source: Bloomberg, Morgan Stanley Research

Screen 2: Less Favored Stocks with Negative Surprise Expected

We screen for stocks that are rated Equal Weight or Underweight by our analyst and are expected to miss on their key KPI. Note that the KPI may be different than N12M EPS.

Exhibit 74: Less Favored Stocks with Negative Surprise Expected

Ticker	Company	Analyst	Sector	Mkt Cap (\$bn)	Last Price	MS Rating	Reporting date	Analyst Identified KPI	Outlook for KPI Trend	Exp. N12M Cons. EPS Impact Trend
JBT	J.B. Hunt Transport Services Inc.	Ravi Shanker	Industrials	37	291.41	UW	7/15/2026	IM Pricing	↘	↘
TRC	Truist Financial Corp	Manan Gosalia	Financials	67	52.51	EW	7/17/2026	Net Interest Income	↘	↘
TSKO	Tractor Supply Co.	Simone Gutman, CFA	Cons. Disc.	16	30.51	EW	7/23/2026	Comps	↘	↘
UPS	United Parcel Service	Ravi Shanker	Industrials	100	117.67	UW	7/28/2026	Domestic Margin	↘	↘
PCAR	PACCAR Inc.	Angel Castillo	Industrials	66	126.20	EW	7/28/2026	3Q26 TP&O Gross Margin	↘	↘
LOGI	Logitech International SA	Erik W Woodring	IT	15	102.83	UW	7/28/2026	F1Q27 Revenue/F2Q27 Revenue Guidance	↘	↘
OSK	Oshkosh Corp	Angel Castillo	Industrials	9	143.65	EW	7/28/2026	FY2026 EPS Guidance	↘	↘
ENPH	Enphase Energy Inc	David Arcaro, CFA	IT	5	41.57	UW	7/28/2026	Self-through	↘	↘
CMS	CMS Energy Corp	David Arcaro, CFA	Utilities	23	73.66	EW	7/28/2026	EPS	↘	↘
CHRW	C.H. Robinson Worldwide Inc.	Ravi Shanker	Industrials	25	208.50	UW	7/29/2026	Gross Margins	↘	↘
PB	Prosperity Bancshares Inc	Manan Gosalia	Financials	8	73.51	EW	7/29/2026	Loan Growth	↘	↘
LECO	Lincoln Electric Holdings Inc	Angel Castillo	Industrials	14	252.74	UW	7/30/2026	Americas EBIT Margin	↘	↘
OPT	Camden Property Trust	Adam Kramer	Real Estate	13	112.97	EW	7/30/2026	Effective new lease growth & SS Rev	↘	↘
AGCO	AGCO Corp	Angel Castillo	Industrials	8	115.34	UW	7/30/2026	Ag Cycle Outlook	↘	↘
D	Dominion Energy Inc.	David Arcaro, CFA	Utilities	61	71.05	EW	7/31/2026	EPS	↘	↘
CE	Celanese Corp.	Vincent Andrews	Materials	5	45.72	EW	8/4/2026	2H26 EPS Guide	↘	↘
LCID	Lucid Group Inc	Andrew S Perocco	Cons. Disc.	2	7.36	UW	8/4/2026	Vehicle Deliveries	↘	↘
WLK	Westlake Corp	Vincent Andrews	Materials	10	77.65	EW	8/5/2026	HIP 2026 implied EBITDA guide	↘	↘
MUR	Murphy Oil Corporation	Devin McDermott	Energy	5	36.84	UW	8/5/2026	2026 Capex	↘	↘
ARDT	Ardent Health Partners Inc	Craig Hettenbach	Health Care	1	10.15	EW	8/5/2026	EBITDA margin	↘	↘
EVGO	EVgo Inc	David Arcaro, CFA	Cons. Disc.	0	1.68	EW	8/5/2026	Stall Acceptances	↘	↘
KMT	Kennametal Inc.	Angel Castillo	Industrials	3	33.72	EW	8/6/2026	FY27 EPS Outlook	↘	↘
NOG	Northern Oil & Gas Inc.	Devin McDermott	Energy	2	21.22	UW	8/6/2026	Cash Flow and EBITDAX	↘	↘
SEDG	Solaredge Technologies Inc	David Arcaro, CFA	IT	3	53.47	EW	8/7/2026	Regional Solar Demand	↘	↘
SNDA	Sonida Senior Living, Inc.	Ronald Kamdem, CFA	Health Care	2	401.82	EW	8/11/2026	same-store NOI growth	↘	↘
PETS	PetMed Express Inc.	Erin Wright	Cons. Disc.	0	1.97	UW	10/16/2026	EPS	↘	↘

For valuation methodology and risks associated with any price targets referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-5424-4349. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA. Note: Screen systematically looks at MS Analyst earnings previews and filters for Overweight or Equal Weight rated stocks where the Analyst expects upside in the Key Performance Indicator (KPI). The KPI may differ from their view on EPS impact. Source: Bloomberg, Morgan Stanley Research

Fresh Money Buy List

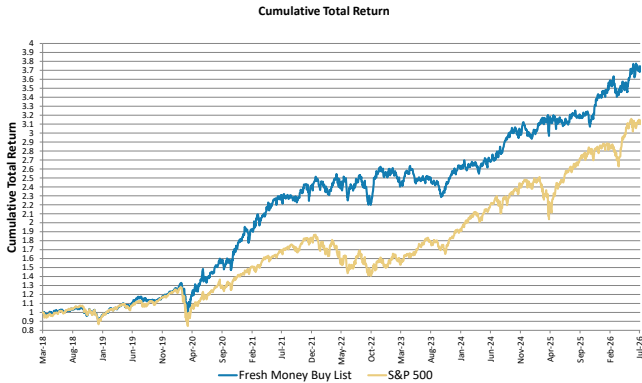
Exhibit 75: Fresh Money Buy List - Stats & Performance

Company Name	Ticker	MS Rating	Sector	Market Cap (\$Bn)	Price	MS PT	% to MS PT	MS Analyst	Date Added	Total Return Since Inclusion	
										Absolute	Rel. to S&P
Abbvie Inc.	ABBV	Overweight	Health Care	\$449.8	\$254.59	278.00	9.2%	Flynn, Terence	8/12/2024	43.2%	0.2%
American Tower Corp.	AMT	Overweight	Real Estate	\$79.2	\$170.06	220.00	29.4%	McVeigh, Cameron	4/7/2025	(18.5%)	(67.7%)
CenterPoint Energy Inc	CNP	Equal-Weight	Utilities	\$28.2	\$43.14	39.00	(9.6%)	Arcaro, David	3/21/2022	65.3%	(12.4%)
Delta Air Lines, Inc.	DAL	Overweight	Industrials	\$55.3	\$84.17	125.00	48.5%	Shanker, Ravi	11/17/2025	45.2%	33.6%
EQT Corp.	EQT	Overweight	Energy	\$31.0	\$49.57	68.00	37.2%	McDermott, Devin	11/17/2025	(16.8%)	(28.4%)
Knight-Swift Transportation Holdings Inc	KNX	Overweight	Industrials	\$12.5	\$76.66	100.00	30.4%	Shanker, Ravi	11/17/2025	80.1%	68.5%
Northrop Grumman Corp.	NOC	Overweight	Industrials	\$74.1	\$521.57	745.00	42.8%	Liwag, Kristine	8/12/2024	9.1%	(33.9%)
Atlassian Corporation PLC	TEAM	Overweight	Information Technology	\$23.8	\$93.29	120.00	28.6%	Singh, Sanjit	11/17/2025	(36.5%)	(50.2%)
Target Corp	TGT	Overweight	Consumer Staples	\$63.4	\$139.61	150.00	7.4%	Gutman, Simeon	11/17/2025	58.3%	46.7%
Walmart Inc.	WMT	Overweight	Consumer Staples	\$909.1	\$114.24	140.00	22.5%	Gutman, Simeon	3/27/2023	150.7%	54.3%
Current List Performance											
Average (Eq. Weight)				\$172.6		24.7%				37.80%	1.06%
Median				\$59.4		29.0%				44.2%	(6.1%)
% Positive Returns (Abs. / Rel.)										70%	50%
% Negative Returns (Abs. / Rel.)										30%	50%
Avg. Hold Period (Months)											19.6
All Time List Performance											
Average (Eq. Weight)										29.9%	4.3%
Median										20.6%	(3.3%)
% Positive Returns (Abs. / Rel.)										73%	44%
% Negative Returns (Abs. / Rel.)										27%	56%
Avg. Hold Period (Months)											19.6

Performance returns shown above and below represent total currency total returns, including dividends and excluding brokerage commission. Returns are calculated using the closing price on the last trading day before the date shown in the "Date Added" column through close on the last trading day prior to publication of this report for stocks currently on the list and through close on the day of removal for stocks formerly on the list. These figures are not audited. Past performance is no guarantee of future results.

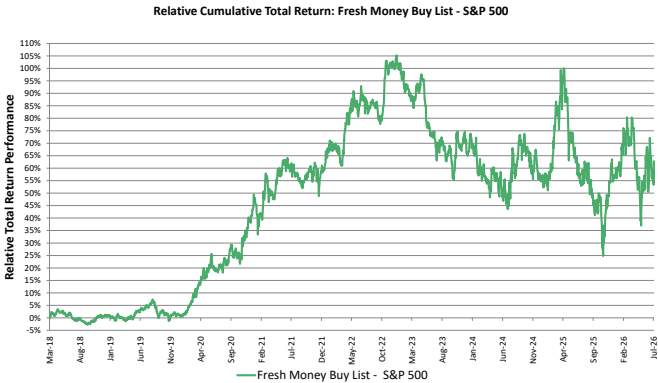
Source: Bloomberg, Morgan Stanley Research

Exhibit 76: Fresh Money Buy List & S&P 500 Cumulative Total Return



Source: Bloomberg, Morgan Stanley Research

Exhibit 77: Fresh Money Buy List / S&P 500 Cumulative Relative Return

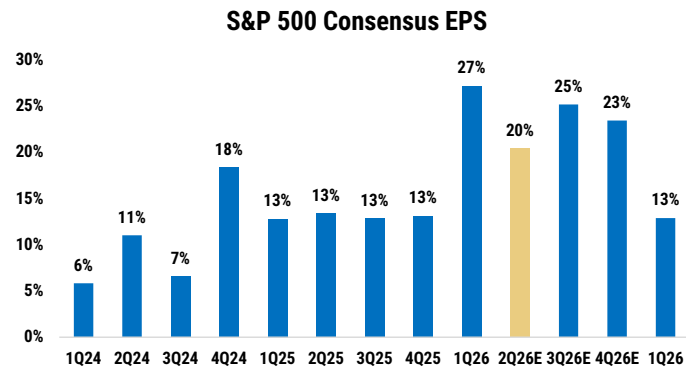


Source: Bloomberg, Morgan Stanley Research

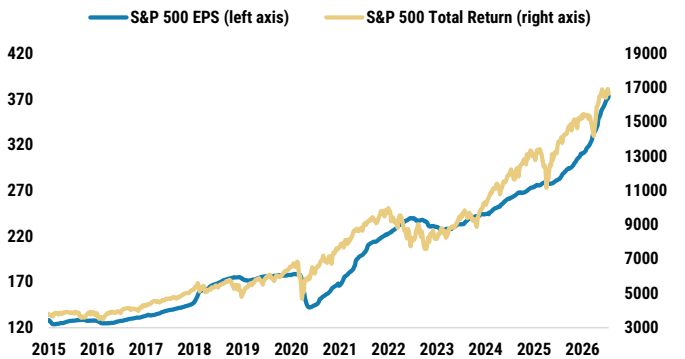
Weekly Charts to Watch

Exhibit 78: US Earnings Snapshot

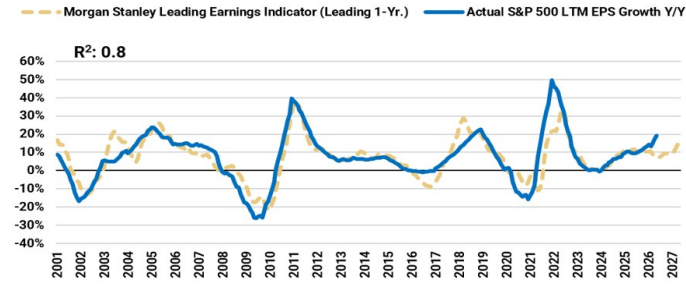
S&P 500 Y/Y EPS Growth



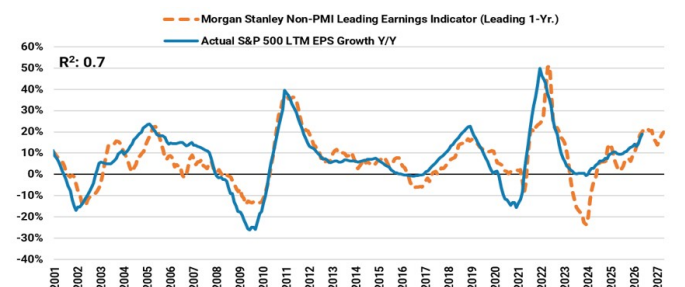
S&P 500 NTM EPS vs. Total Return Level



US Leading Earnings Indicator



US Non-PMI Leading Earnings Indicator



Source: Refinitiv, FactSet, Morgan Stanley Research. Top: As of July 17, 2026. Bottom left as of May 31, 2026. Bottom right as of May 31, 2026. Government data has delayed further updates. Actual S&P 500 LTM EPS as of 6/30/26. The LEI is a top down macro indicator consisting of the Inventory/Sales ratio, ISM Manufacturing PMI, ISM Manufacturing Employment PMI, Consumer Confidence and credit spreads. MS Non-PMI Leading Earnings Indicator inputs: Philadelphia Fed economic activity, Creighton U. business confidence, Chicago Fed supplier deliveries, Atlanta Fed wage tracker (inverse signal), NFIB small bus. most important problem inflation (inverse signal), and Brave-Butters-Kelley cycle component of monthly GDP. Weightings are fixed over time.

Exhibit 79: Morgan Stanley US Equity Strategy Forecast Table

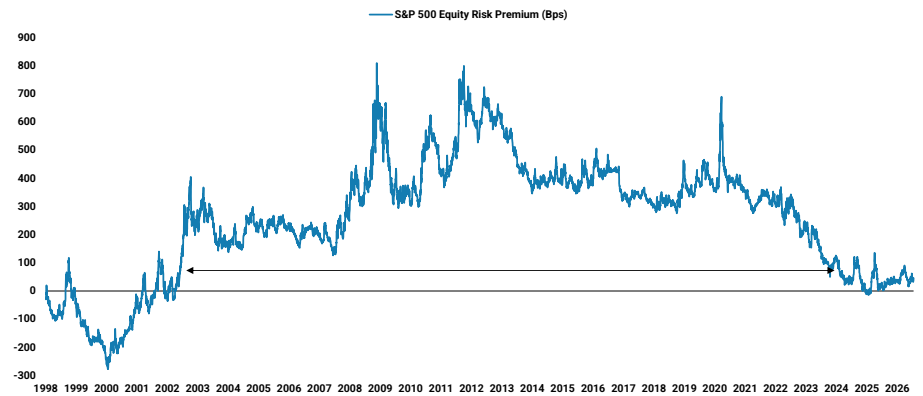
		MS Top Down EPS Estimates				Bottom Up Consensus EPS Estimates			
		Current Price	MS Next 12M Price Target	MS Next 12M Price Target % to Current	Current P/E	MS Next 12M P/E Target	2026	2027	June 2028
Bear Growth		7,458	5,900	-21%	20.1x	19.0x	\$299	\$300	\$311
							9%	0%	4%
Base Growth		7,458	8,300	11%	20.1x	20.5x	\$339	\$380	\$404
							23%	12%	13%
Bull Growth		7,458	9,400	26%	20.1x	21.0x	\$352	\$416	\$448
							28%	18%	17%

Source: FactSet, Morgan Stanley Research.

Exhibit 80: Sector Ratings

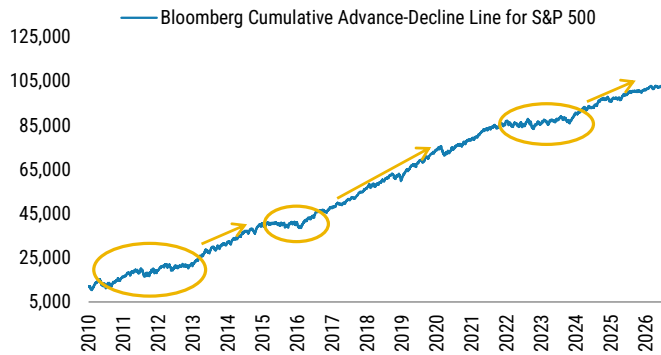
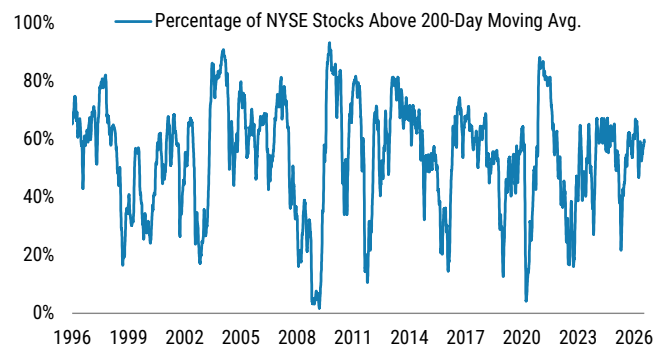
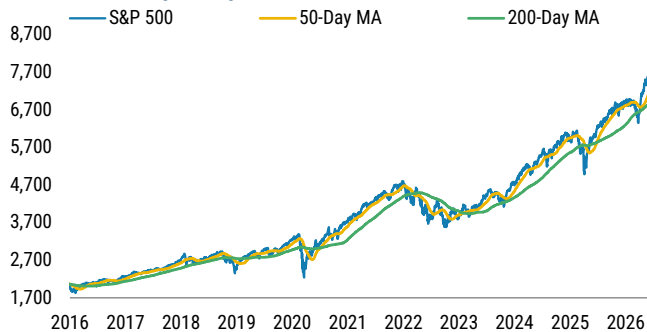
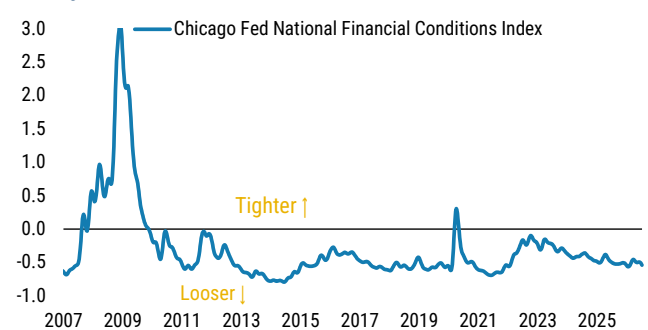
Morgan Stanley Sector Recommendations			
Overweight	Financials	Industrials	Consumer Discretionary Goods
Equal Weight	Tech	Comm. Services	Health Care
	Materials	Utilities	Consumer Services
	Energy		
Underweight	Staples	Real Estate	

Source: Morgan Stanley Research

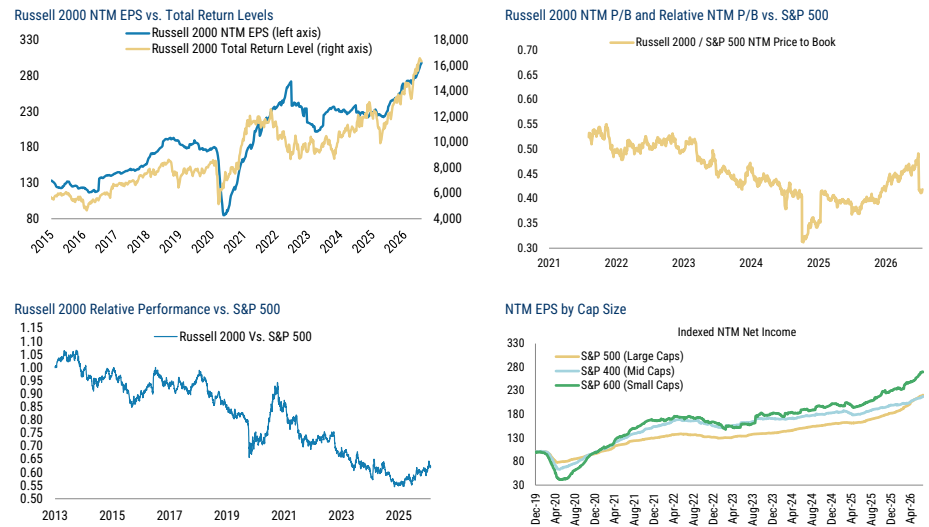
Exhibit 81: Equity Risk Premium

Note: Equity risk premium is calculated as the S&P 500 forward 12M earnings yield minus the nominal 10-Year Treasury.

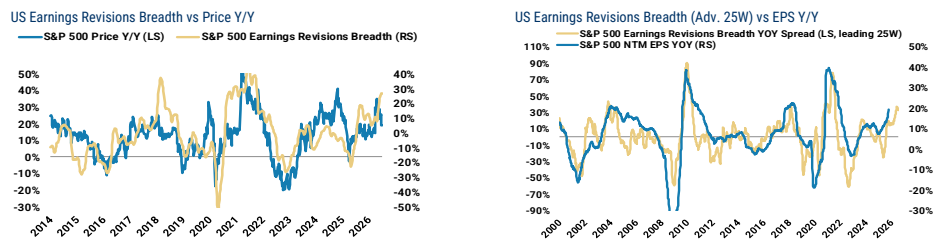
Source: As of July 17, 2026. Bloomberg, Morgan Stanley Research

Exhibit 82: US Equity Market Technicals and Financial Conditions**S&P 500 Advance/Decline Line****S&P 500 Percent Members Above 200-Day Moving Average****S&P 500 with Moving Averages****Chicago Fed National Financial Conditions Index**

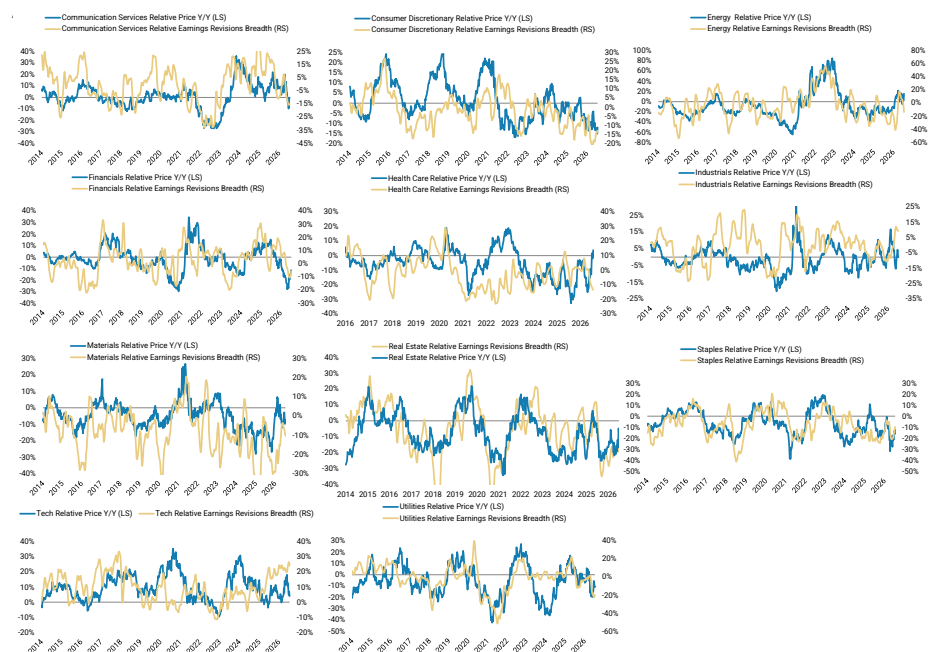
Source: Bloomberg, Morgan Stanley Research. As of July 17, 2026

Exhibit 83: US Small Cap Equities

Source: FactSet, Morgan Stanley Research. As of July 17, 2026

Exhibit 84: Earnings Revisions Breadth

Source: FactSet, Morgan Stanley Research

Exhibit 85: Earnings Revisions Breadth vs YoY Performance

Source: FactSet, Morgan Stanley Research. As of July 17, 2026

Important note regarding economic sanctions. This report references jurisdictions which may be the subject of economic sanctions. Readers are solely responsible for ensuring that

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No investment recommendation is made with respect to any of the ETFs or mutual funds referenced herein. Investors should not rely on the information included in making investment decisions with respect to those funds.

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Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Diane Ding, Ph.D.; Nicholas Lentini, CFA; Andrew B Pauker; Michelle M. Weaver, CFA; Michael J Wilson.

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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